

Bank of Kigali

Investor Presentation

1H 2015



BANK OF KIGALI
Financially transforming lives



Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

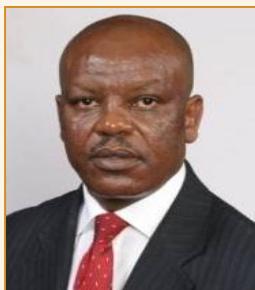
Key Executives



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Agenda

1. Key Investment Highlights
2. Country Overview Information
3. Banking Sector Overview
4. Bank Overview
5. Corporate Governance
6. Business Overview
7. Review of Financial Performance 1H 2015 & YE 2014
8. Strategic Outlook
9. Contact Information

Key Investment Highlights

1. Best Bank in Rwanda 2013 & 2015



2. Best East African Bank 2012 & 2015



3. Bank of the Year 2009-2012, 2014



4. Best Bank in Rwanda 2009-2014



5. Best African Listing 2011

6. AA-/A1 Credit Rating



The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.



7. Best Financial Reporting Company Rwanda 2012 & 2014



Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 12.4 million with 83% below the age of 40
- Robust economic growth averaging 8% pa in the last 5 years, aiming at reaching 11.5% by 2018
- Moderate inflation: Inflation rate of 2.8% as at June 2015
- The 2015 World Bank Doing Business Report ranked Rwanda as the 46th out of 189 countries in terms of ease of doing business and 3rd in Africa.

Significant Banking Sector Potential

- Significant headroom for growth given under-banked and excluded population
- Large unbanked population of approximately 28%
- Total assets/GDP of 33% as at December 2014
- Well regulated banking sector: fairly conservative regulator relative to other regulators in the EAC

Market Leadership

- Strong Market positioning & sustainable leadership by
 - Total assets (FRw 539.5 billion – Q2 2015) : 33.0% market share as at Q2 2015
 - Net Loans (FRw 281.0 billion – Q2 2015) : 31.6% market share as at Q2 2015
 - Customer Deposits (FRw 383.9 billion – Q2 2015) : 38.1% market share as at Q2 2015
 - Shareholders' Equity (FRw 89.5 billion – Q2 2015) : 37.2% market share as at Q2 2015

Conservative Business Model

- Relatively high capital adequacy ratios ranging from 18.7% - 22.4% between 2010 and Q2 2015
- Manageable level of non-performing loans at 5.8% of gross loans as at 1H 2015, down from 19.4% in 2007. Net loans to customer deposits ratio of 73.2% as at 30 June 2015.
- High liquid assets holding of 56.2% (minimum requirement 20%)

Experienced Management Team

- Management team with significant banking sector experience
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

Profitable Growth

- Robust asset growth at a CAGR of 22.1% (2010 - 2015) - FRw 539.5 billion as at 30 June 2015
- ROAA ranging from 3.5% - 4.3% between 2010 and 1H 2015

COUNTRY OVERVIEW INFORMATION



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AWARDS 2015**



Rwanda – Country Profile

National Facts

Area	26,338 sq km
Population	12.4 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (FRw) {720 FRw = 1 US\$ as of end June 2015}
Credit Rating	'B + ' (Fitch Ratings)
	'B+' (Standard & Poors)
Nominal GDP (2014)	US\$ 7.8 billion
Nominal GDP Per Capita (2014)	US\$ 724
Nominal GDP (2015E)	US\$ 8.4 billion
Nominal GDP Per Capita (2015E)	US\$ 730

Macro Economic Indicators

Real GDP Growth rate 2014	7.0%
Real GDP Growth rate Q1 2015	7.6%
Inflation Rate (June 2015)	2.8%
Private Sector Credit Growth(2014)	19.6%
Current-account deficit as a % of GDP-2015E	11.3%
Net External Debt (%GDP) 2015	9.3%
Currency Depreciation against USD June 2015)	3.6%
FDI as % of GDP - 2014	3.4%
Official Reserves - 2015E	4.3 months' imports

Source: IMF,CIA World Factbook, World Bank, Ministry of Finance and Economic Planning, National Institute of Statistics of Rwanda and National Bank of Rwanda, Standard and Poors Research Update -March 2015, Fitch Ratings- July 2015

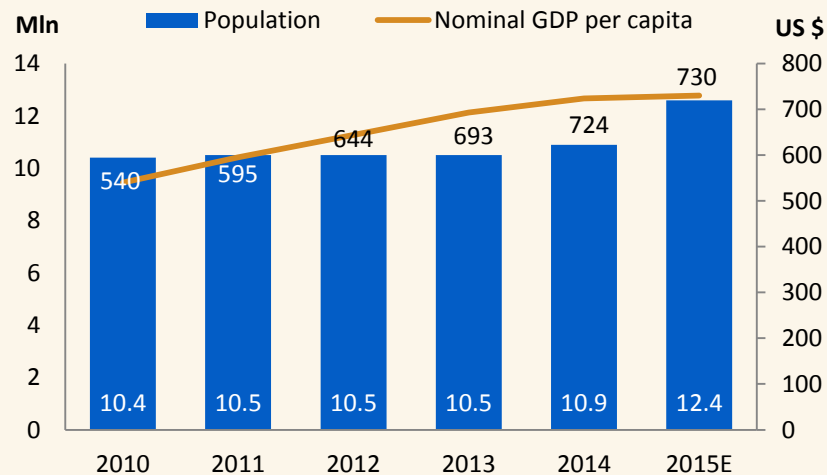
Business Environment

- Ranked Third after Mauritius and South Africa as the best destination to do business in Africa in the World Bank 2015 Doing Business Report.
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index. Today, entrepreneurs can register a new business online in 6 hours
- Ranked first in Africa in the 2014 World Bank Country Policy and Institutional Assessment (CPIA) report. The report shows that Rwanda's economic management and structural policies as the most improved in sub-Saharan Africa. Rwanda was also named the most competitive economy in East Africa and third in Africa by Global Competitiveness Index Report 2014

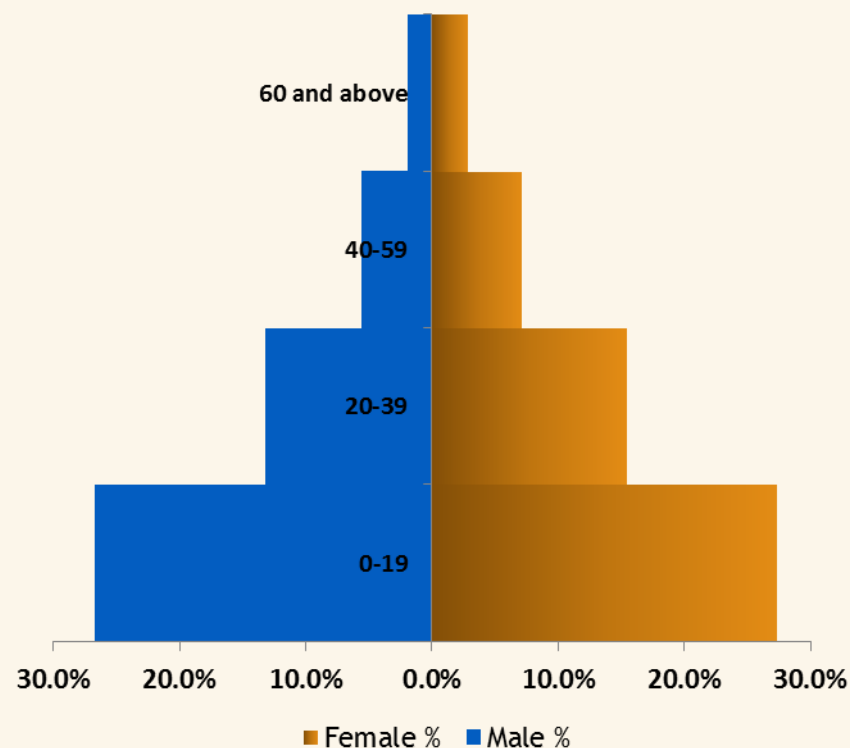


Sound Macro Fundamentals

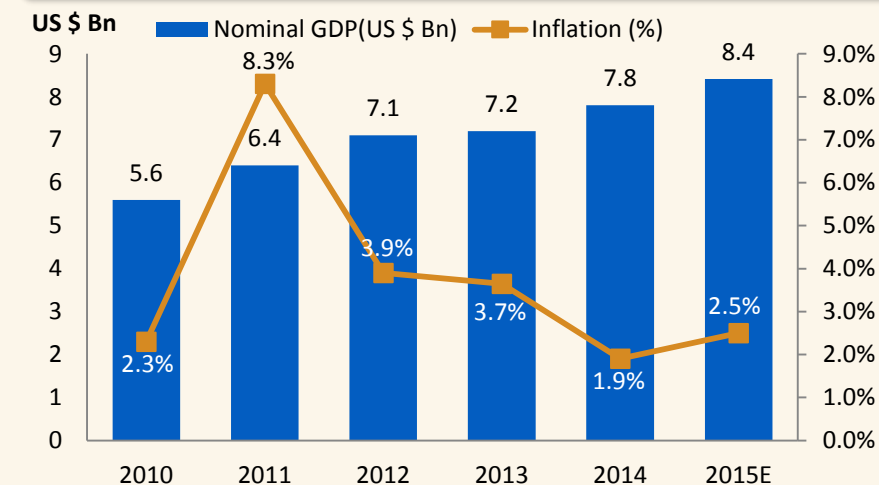
GDP per Capita continues to grow



Population Pyramid for Rwanda



Healthy GDP growth with moderating inflation



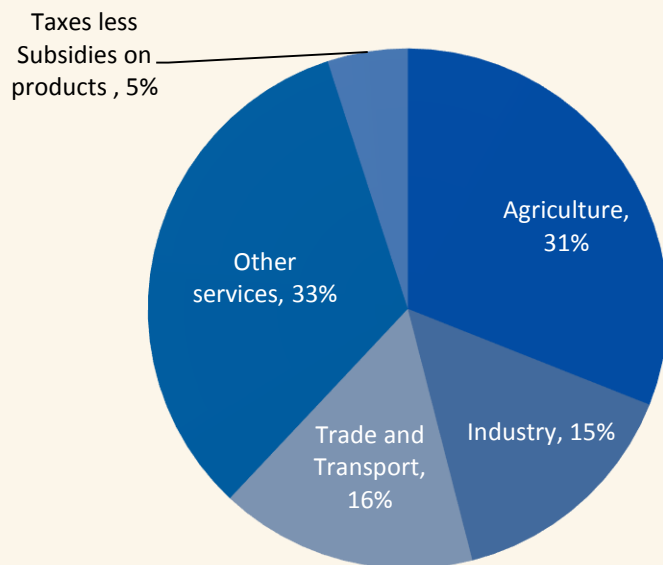
- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: Ministry of Finance and Economic Planning, World Bank

Source: National Institute of Statistics of Rwanda

Macroeconomic Indicators

GDP Breakdown By Economic Activity Q1 2015

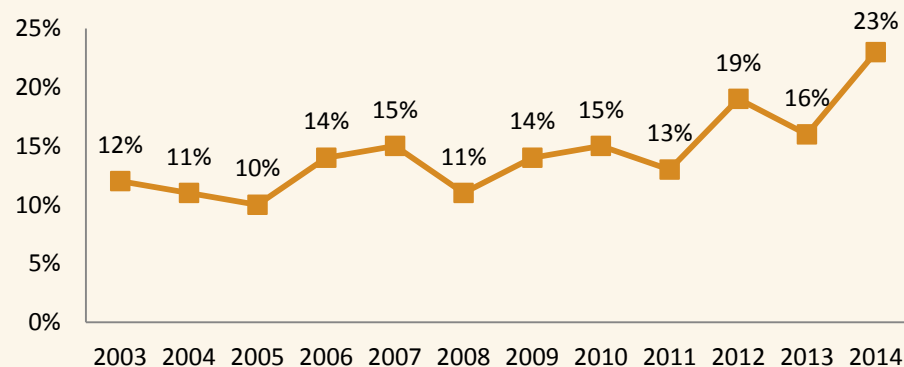


Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include fuel and oils, intermediary goods especially construction materials, consumer goods, and capital goods.
- However in Q1 2015, total exports increased by 10.2% (102 Million) while total imports value reduced by 1.8% (\$4,327 Million) compared to last year.
- To increase the volume of exports Rwanda prioritized investing in Agriculture, Energy and Road network.

Source: NBR Monetary Policy Statement

Trade Deficit as a % of GDP



Source: Ministry of Finance and Economic Planning

Current Account Deficit as a % of GDP



Source: National Institute of Statistics of Rwanda , Fitch ratings

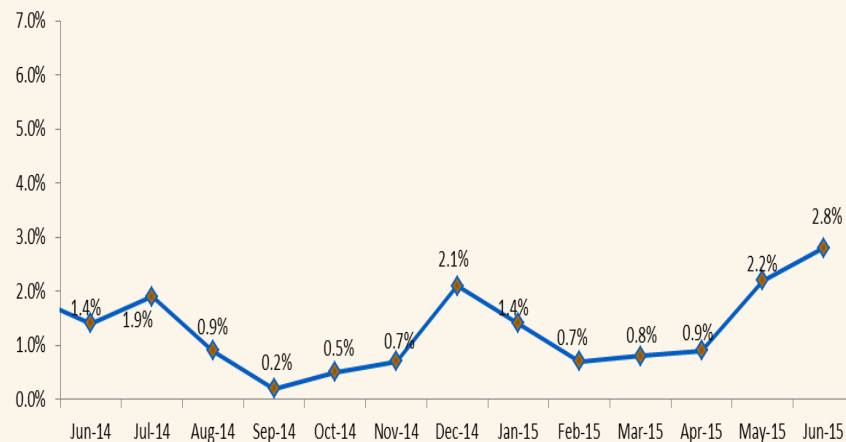
Review of the Macro Economic Environment

Macro Economic Review

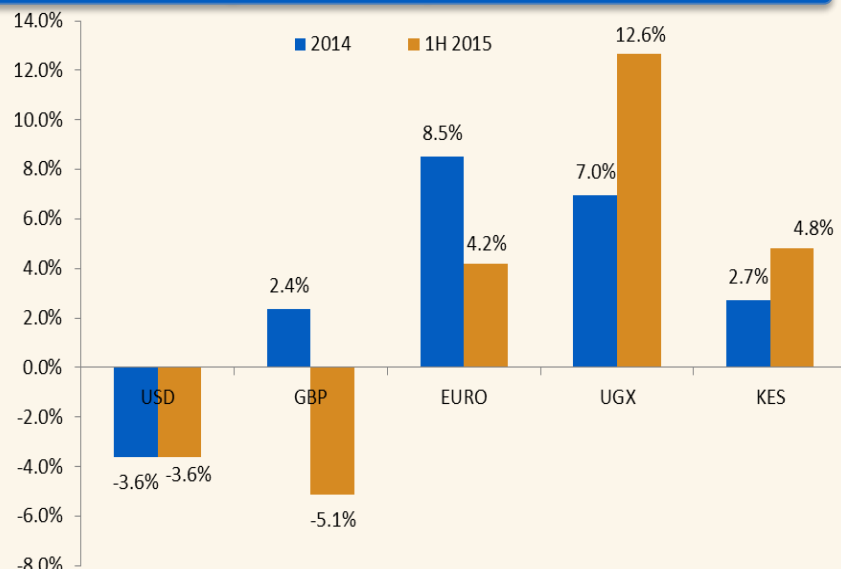
- █ GDP in Q1 2015 was 7.6% higher in real compared to the same period in 2014.
- █ The Services sector contributed 48% of GDP while the Agriculture sector contributed 31%. The Industry sector contributed 14% and 5% was attributed to adjustment for taxes less subsidies on products.
- █ In the first quarter , “Agriculture sector” grew by 4 percent and contributed 1.3% points to the overall GDP growth. Activities in the “industry sector” grew by 7% and contributed 1% points to the GDP growth. “Service sector” increased by 8 % and contributed 4.1% points to the GDP growth.
- █ On average, headline inflation decelerated from 1.4% in June 2014 to 0.9% in April, however accelerated in May and June to 2.2% and 2.8% . The upward movement was as result of increased inflationary pressures from components such as; food, housing, electricity and transportation that picked up after being negative since Q4 2014.

Source: National Institute of Statistics of Rwanda, NBR Monetary Policy & Research Department

Inflationary Environment Jun 2015



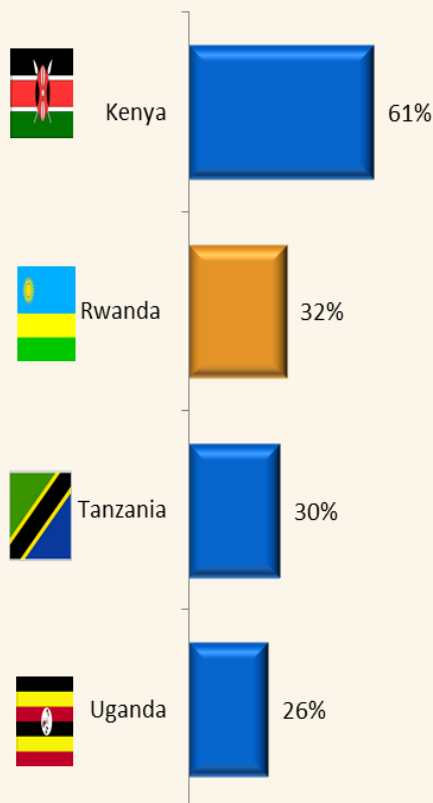
Exchange Rate Developments 1H 2015



BANKING SECTOR OVERVIEW

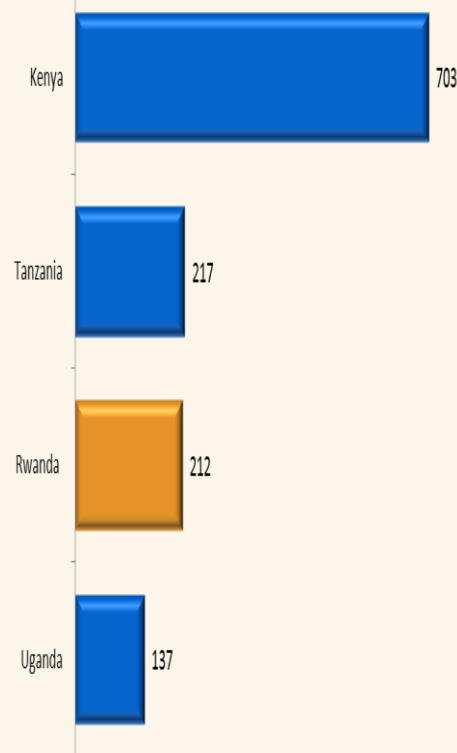
Significant Banking Sector Potential

2014 Banking Assets/GDP



2014 Banking Assets Per Capita⁵

(US\$)



Large Unbanked Population

- Economy is moving away from being cash-based through the various financial inclusion initiatives being undertaken by financial institutions including the launch of agency banking and mobile money transfer services.
- Approximately 72% of the population have or use financial products or mechanisms including those offered by non- bank formal financial institutions such as SACCOs

Source: Finscope Rwanda 2012

Prudential Regulations

CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Cash Reserve Ratio	5% of total deposits
Lending in foreign currency	Restricted to clients generating cash flows in FX

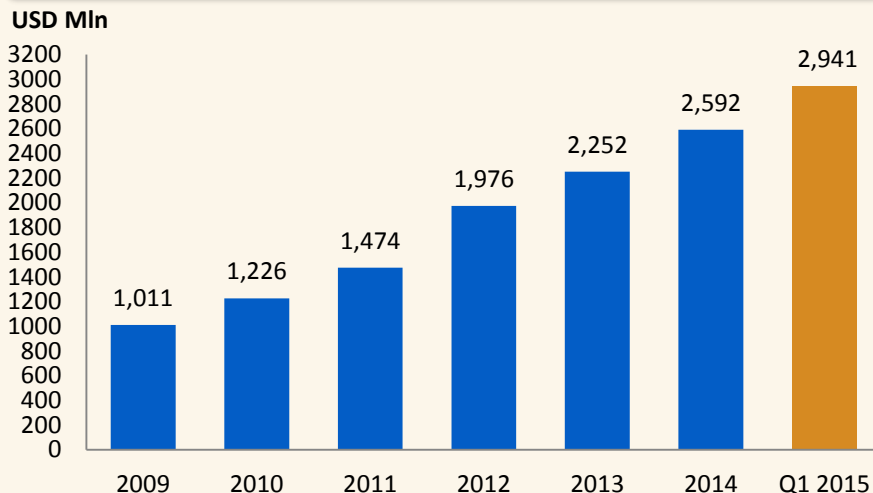
(1) Source: Exotic Frontier Equities

(2) Source: National Bank of Rwanda YE 2013 Monetary Policy Statement

(3) Source: Population stats by World Bank

Banking Sector Overview

Rwanda Banking System Total Assets



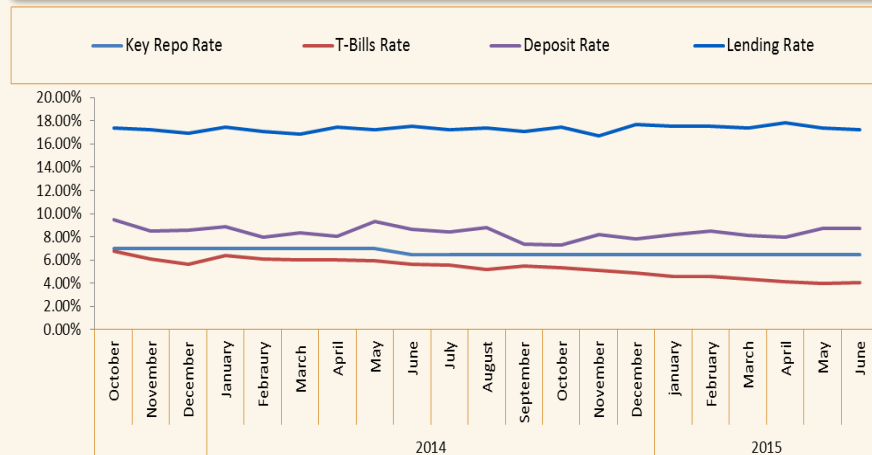
Source: NBR Monetary Policy Statement Q1 2015

Banking Sector Review

- As at Q1 2015, total CAR stood at 25.9% (YE 2014: 24.2%) well above the regulatory minimum of 15%.
- The profitability indicators improved in Q1 2015 compared to Q4 2014 as ROA increased to 2.6% and ROE improved to 14.0% from 1.9% and 10.7% respectively in Q4 2014. This profitability of the banking sector was positively revamped by slightly lower cost incurred by banks in Q1 2015.
- The quality of assets improved as the Non-performing loans (NPLs) to total gross loans reduced to 6.3 % in Q1 2015 compared to same quarter in 2014 where it stood at 6.7%

Source: NBR Monetary Policy Statement Q1 2015

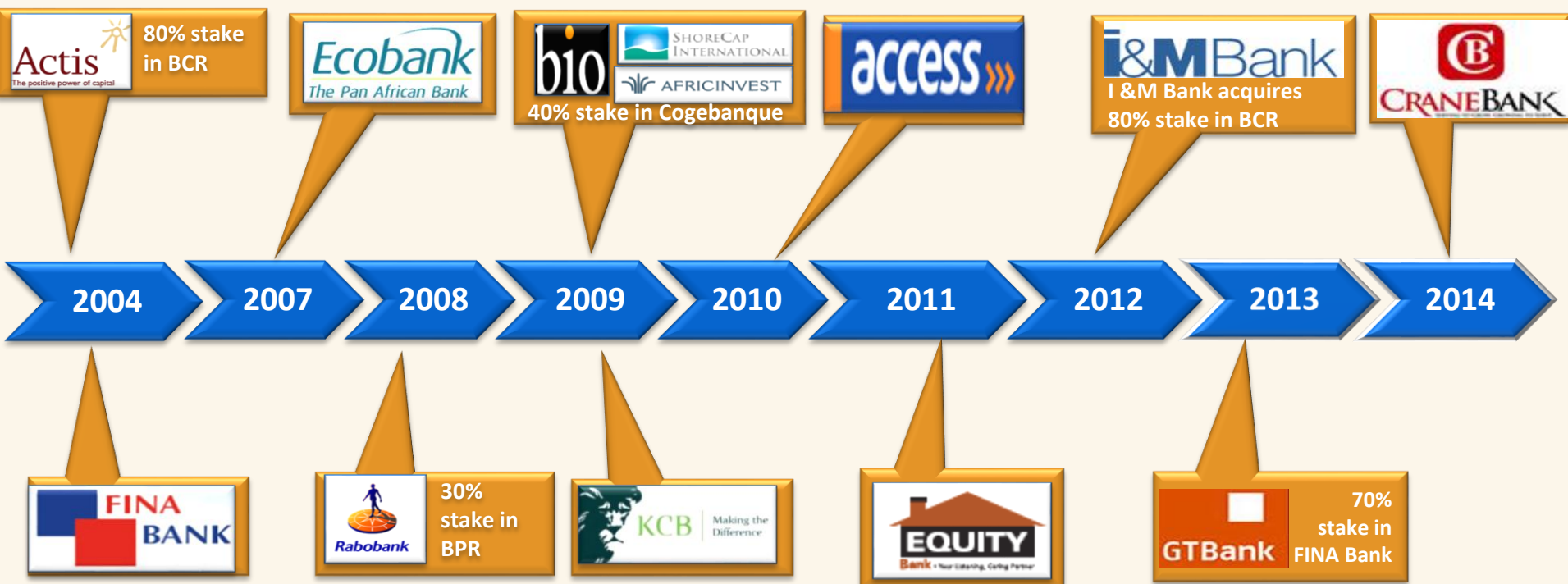
Interest Rate Analysis



Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Timeline of Foreign Investment In The Rwandan Banking Sector

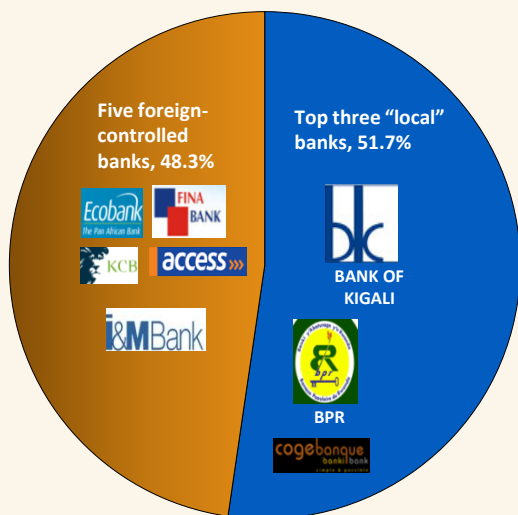


	2010	2011	2012	2013	2014	1H 2015
Bank of Kigali Market Share by Total Assets*	27.4%	32.3%	32.0%	35.8%	33.7%	33.0%
* Market share among commercial banks – BK Analysis						

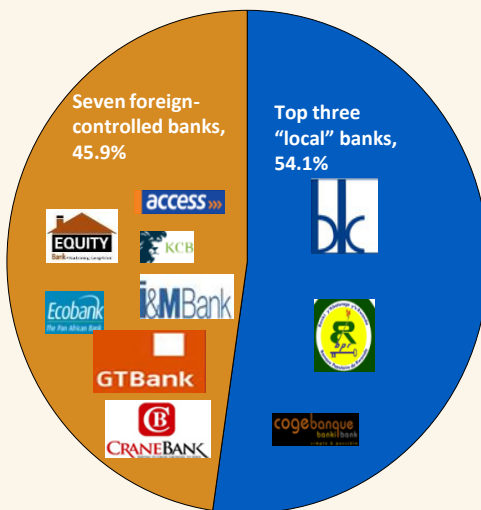
Banking Sector Overview Cont'd

Case study: Rwanda– seven out of ten banks in Rwanda are owned by regional and Pan African banks and have lost market share to locally-run banks

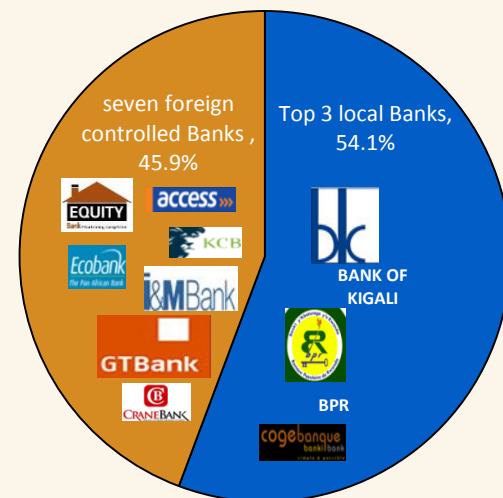
Market Share By Total Assets in 2008



Market Share By Total Assets in 2014



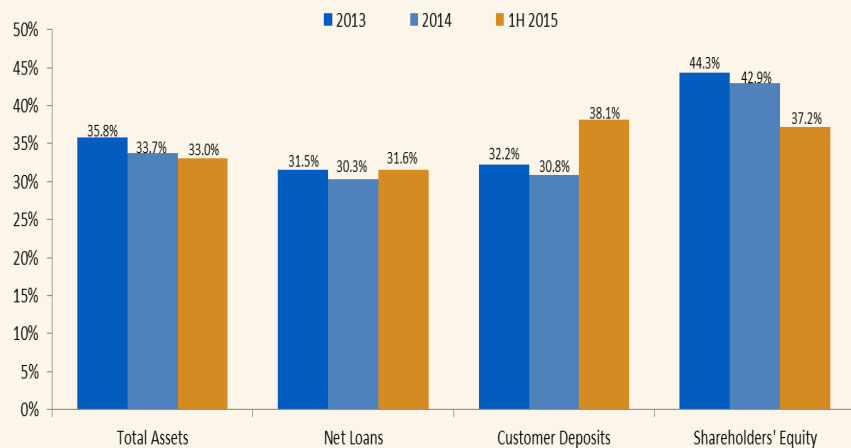
Market Share By Total Assets in Q1 2015



Source: Q1 2015 Commercial Banks Published Financial Statements ; * BPR Q4 2014

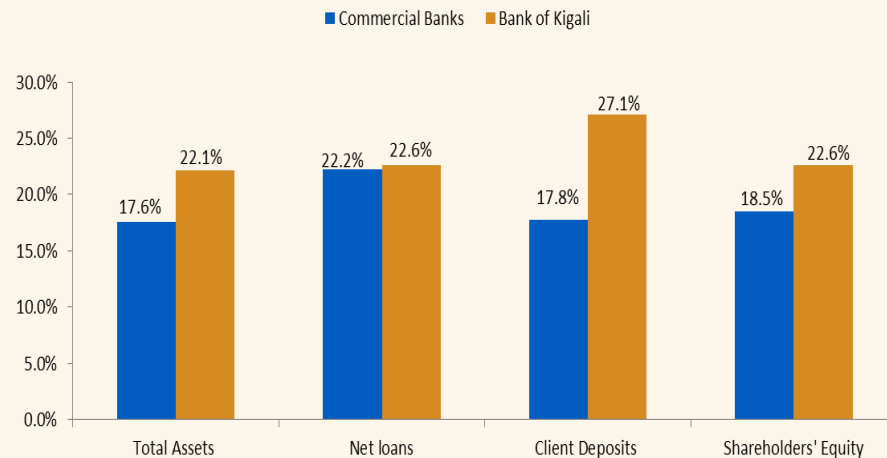
Competitive Landscape

Market Share Dynamics

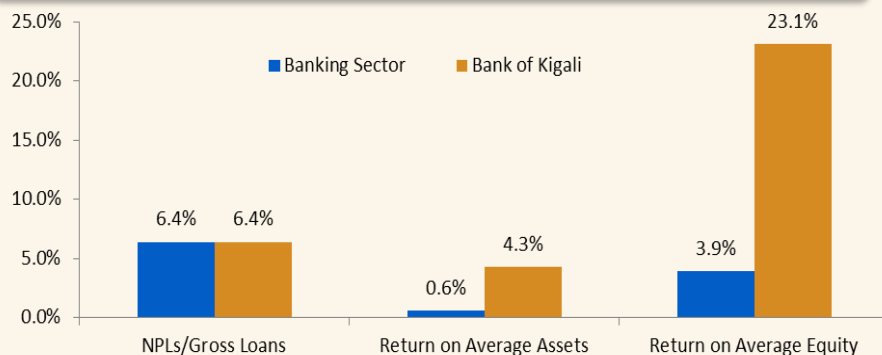


Source: NBR Supervision Department, BK Company Filings and published financials statements of Banks * BPR Q4 2014

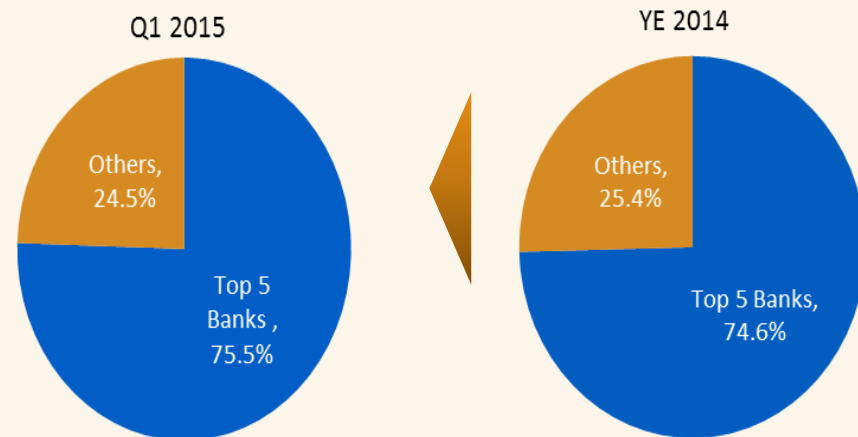
Bank of Kigali Growth vs. Commercial Banks' Growth, CAGR YE 2010 – 1H 2015



Selected Indicators Q1 2015



Concentration of Banking Sector Assets



Source: Q1 2015 Published Financial Statements

*BPR Q4 2014

Strong Market Leadership – Q1 2015

Rank	Total Assets		Net Loans		Customer Deposits		Equity	
1		33.8%		31.2%		31.9%		43.7%
2		11.1%		13.0%		12.3%		10.5%
3		11.0%		11.0%		11.4%		8.7%
4		10.4%		10.8%		11.8%		7.3%
5		9.3%		10.0%		8.6%		6.5%
6		8.7%		9.2%		7.7%		6.2%
7		6.1%		6.7%		5.7%		5.4%
8		5.3%		5.3%		6.2%		4.2%
9		3.7%		2.7%		4.2%		4.0%
10		0.6%		0.1%		0.2%		3.5%

Source: Q1 2015 published financial statements for commercial banks

* BPR published Q4 2014

BANK OVERVIEW



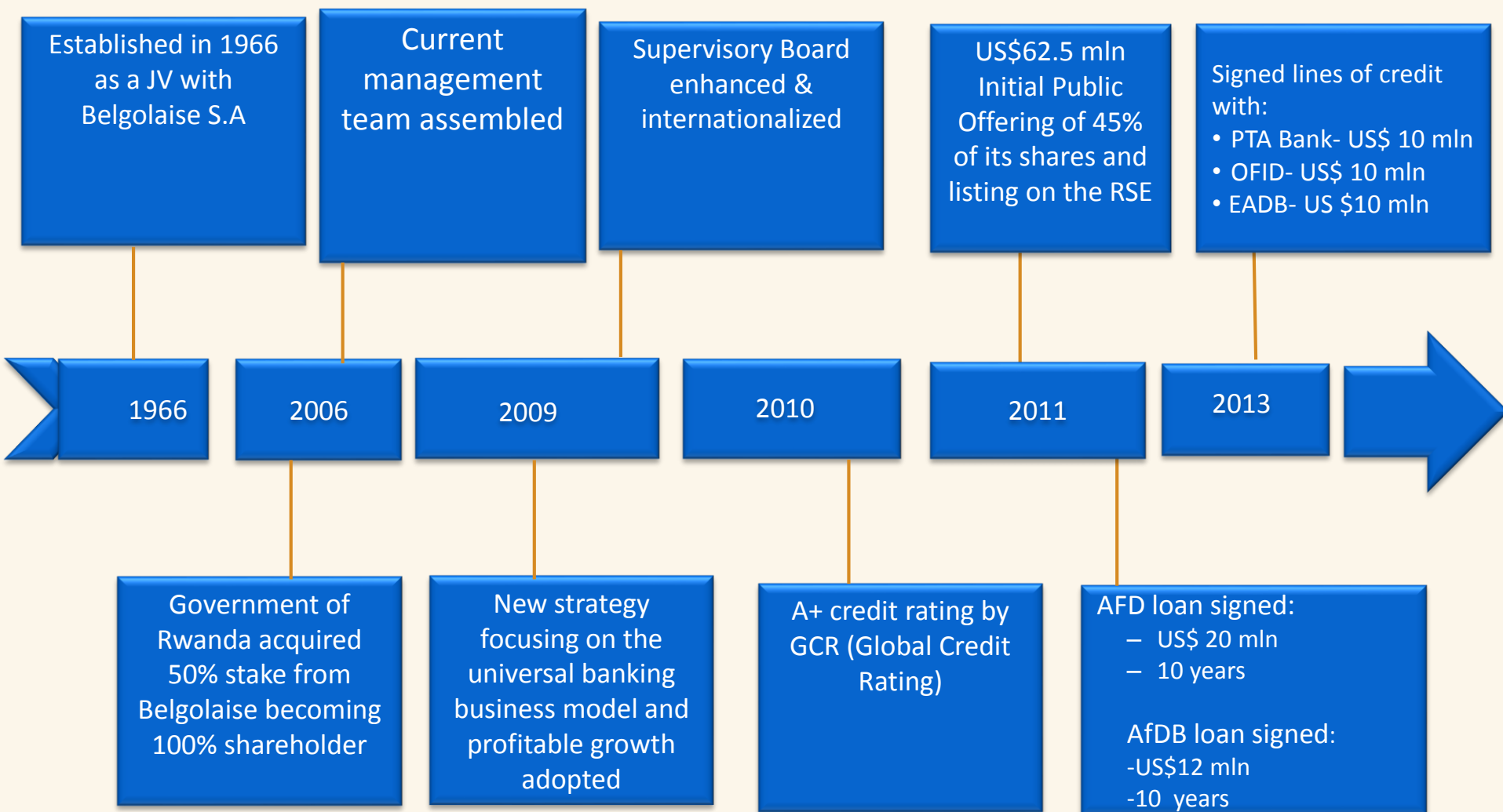
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Background and History



A Snapshot of Bank of Kigali

Key Facts

- The leading bank in Rwanda (33.0% market share by Total Assets as at 30 June 2015), offering a wide spectrum of commercial banking services to Corporate, SME and Retail customers
- As at 30 June 2015 the Bank had:
 - Over 27,750 Corporate clients
 - Over 313,000 Retail clients
 - 73 branches
 - 79 ATMs
 - 1,116 employees
- Western Union, Money Gram and Express Money services for International Transfers



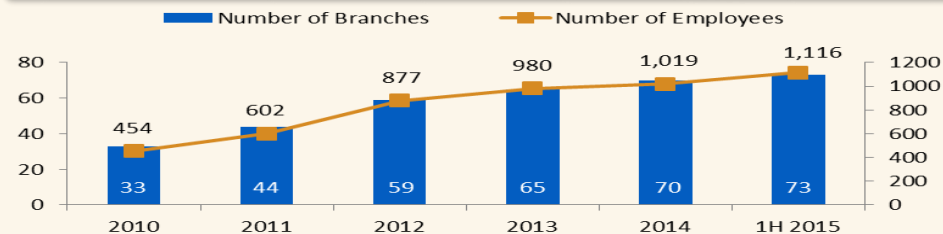
US\$ million	2010	2011	2012	2013	2014	1H 2015	CAGR 2010-1H 2015
FRw/USD Period End rate	594.4	604.4	630.6	670.2	686.1	701.5	
Total Assets	332.6	476.3	511.9	630.2	703.4	769.0	22.1%
Net Loans	170.6	203.7	293.5	297	340.3	400.5	22.6%
Client Deposits	228.3	299.5	330.5	418.5	473.1	547.2	27.1%
Shareholders' Equity	53.6	101.9	100.1	105.7	130.5	127.5	22.6%
Net Income	10.4	14.4	18.5	22.0	26.7	15.3	28.4%

Growth figures are calculated on FRw Values.

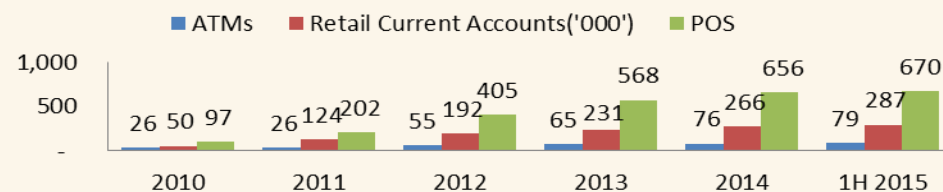
Market Share	2010	2011	2012	2013	2014	1H 2015
Total Assets	27.4%	32.3%	31.7%	35.6%	33.7%	33.0%
Net Loans	31.5%	29.4%	31.5%	30.4%	30.3%	31.6%
Client Deposits	25.9%	28.2%	28.1%	32.50%	30.9%	38.1%
Shareholders' Equity	32.2%	41.9%	41.9%	42.1%	42.9%	37.2%

Source: Bank of Kigali Audited Financials 2010-2014; Q1 Banks Published Financials ; *BPR Q4 2014

Branch Network Evolution



Growth in ATMs, POS Terminals and # of Retail Current accounts

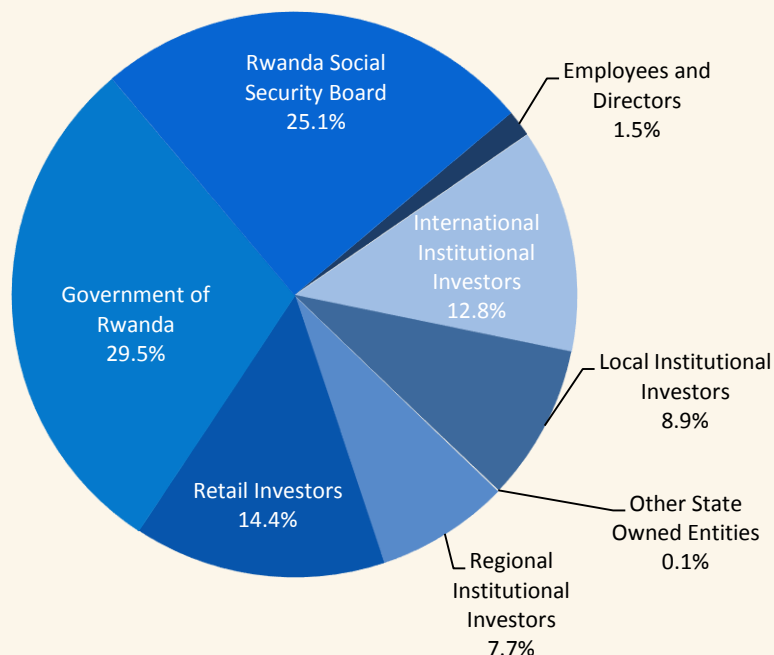


CORPORATE GOVERNANCE



Shareholding Structure & Corporate Governance

Shareholding Structure as at 30 June 2015



Free float- 45%

Corporate Governance

- ✚ The Board has eight independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- ✚ The Board of Directors is appointed by the shareholders and approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands.
- ✚ The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the BNR Corporate Governance guidelines.
- ✚ The Board sub-committees have clear TORs which underscore the scope and context of their mandate and performance as approved by the Board & the BNR Corporate Governance regulation.
- ✚ The Board receives detailed financial information and regular presentations from the management on the Bank's business performance; this enables the Directors to make informed decisions on governance, strategic, financials and operational issues.

Share Trading Performance

30 June 2015

Analyst Coverage

Renaissance
Capital

Recommendation: **HOLD**

Target Price: **FRw 325**

Last coverage report: 10 March 2015

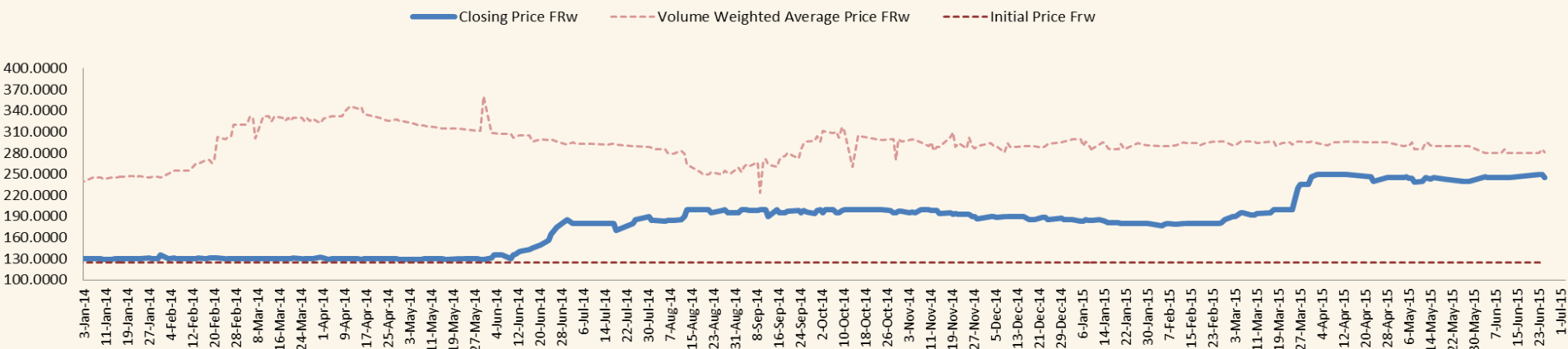
Current price, FRw	290
Market Cap, US\$ mln	271
Free float	45%
Free float in US\$ mln	127.4
Average daily traded volume in US\$ mln	0.38
Common shares outstanding, mln shares	671.9
12-month high	365
12-month low	170
P/E 2015 (based on current price)	8.70x
P/BV 2015 (based on current price)	1.94x
Dividend yield, 2014 (based on price of FRw 296)	5.5%
EPS annualised, 1H 2015	33.2
Ticker Code	BOK
Bloomberg	BOK. RW

FRw/USD Exchange Rate of 719.541 as at 30 June 2015 (BNR Middle Rate)

***Capital gains on RSE transactions are exempted from Capital Gains Tax**

Share Price Performance

Price

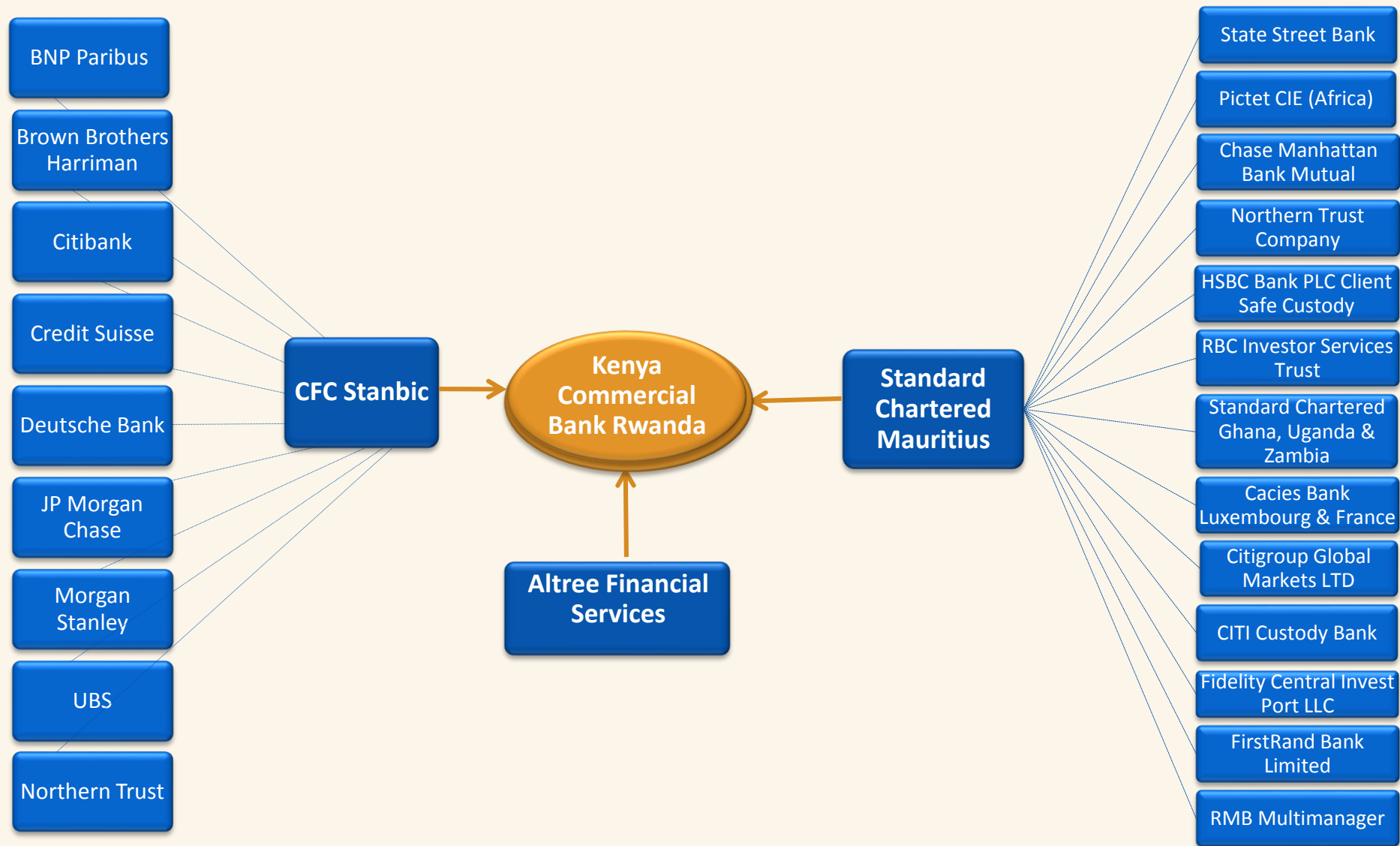


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Custodial Service Chain



BUSINESS OVERVIEW



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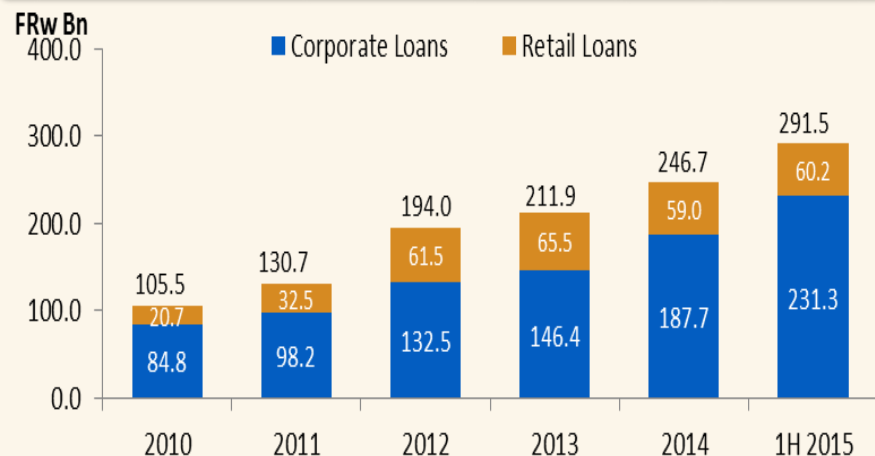


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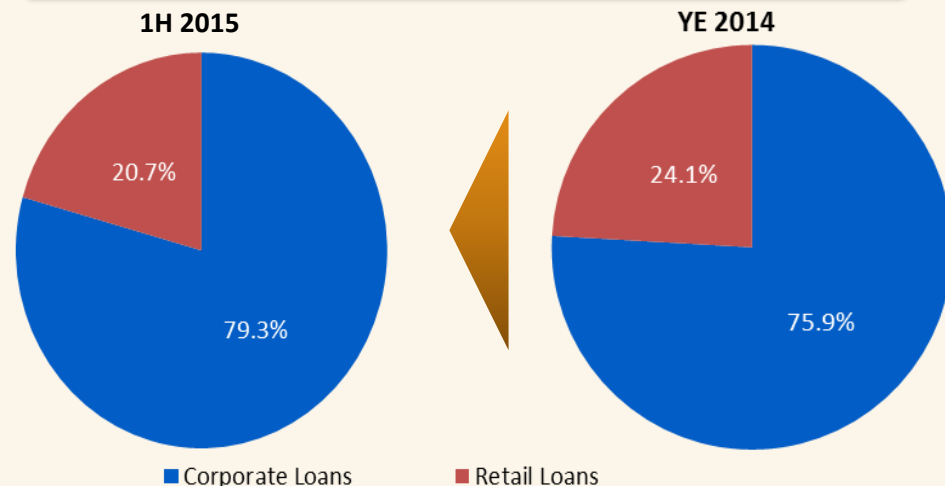


Overview of the Loan Book

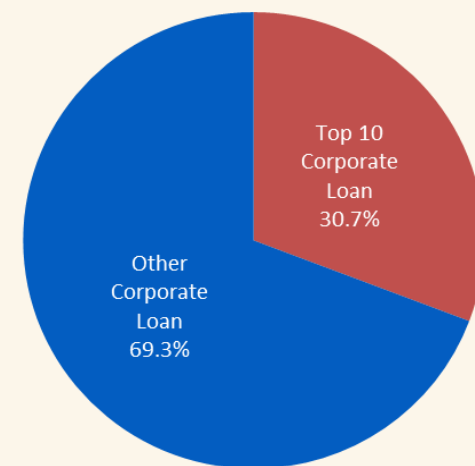
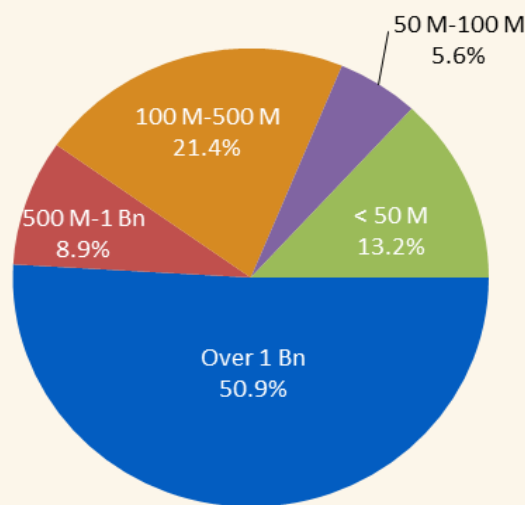
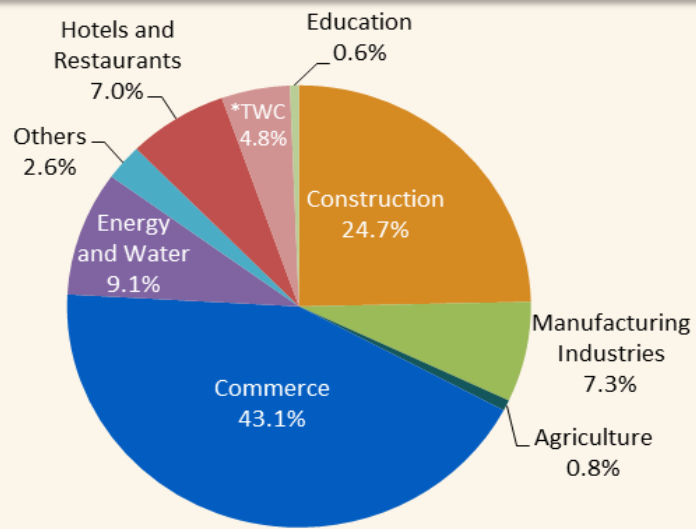
Gross Loan Portfolio



Loan Book Segmentation



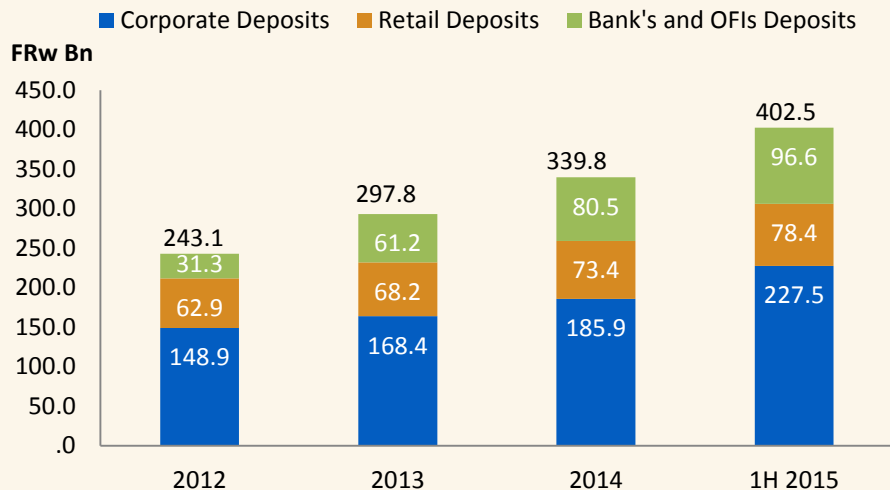
Corporate Loan Book 1H 2015



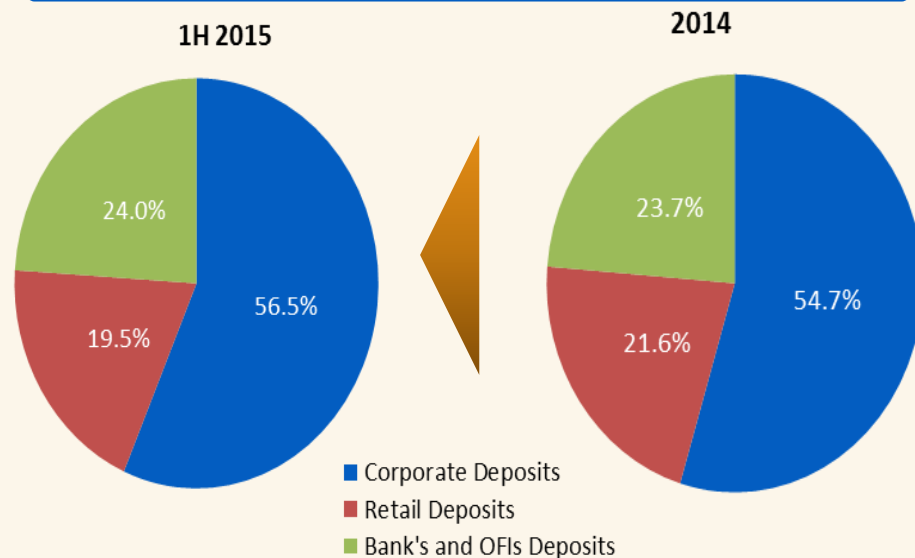
*TWC- Transport, Warehousing and Communication

Customer Deposit Base

Total Deposits Growth



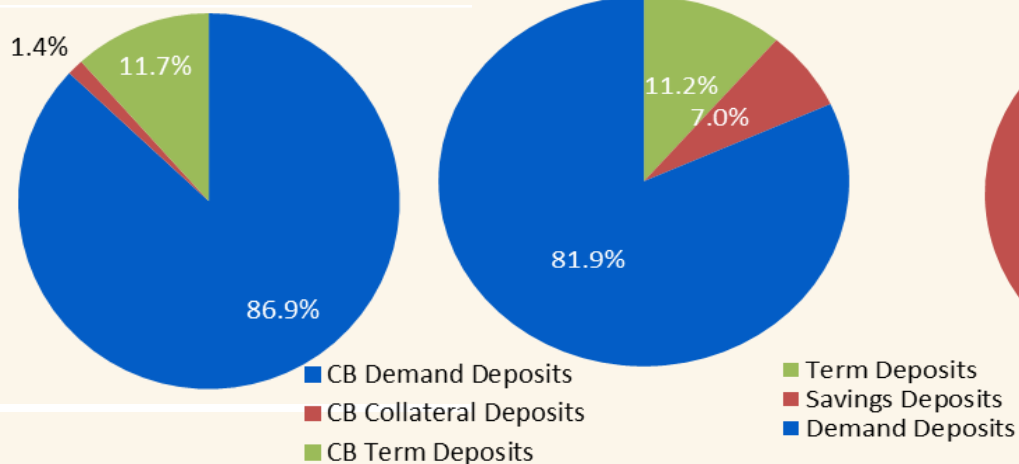
Customer Deposit Segmentation



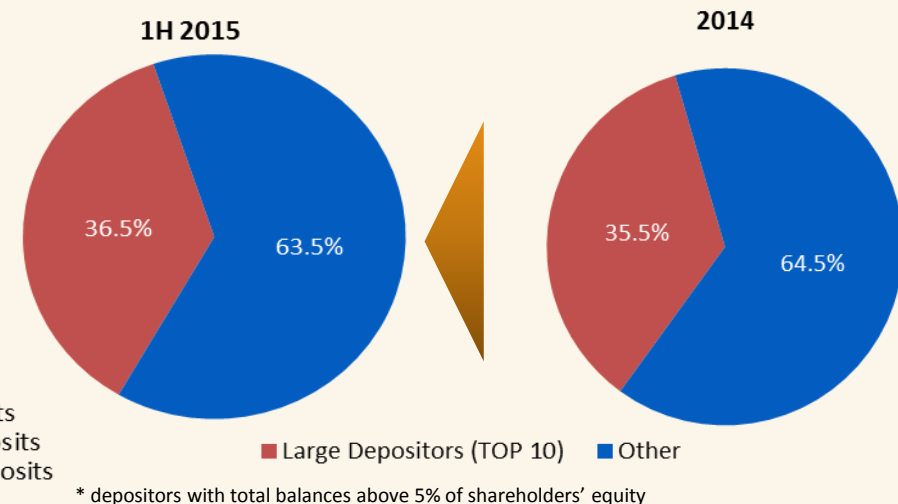
Structure of Deposits, 1H 2015

Corporate: FRw 227.5Bn

Retail: FRw 78.4Bn



Customer Deposits Concentration



* depositors with total balances above 5% of shareholders' equity

Corporate Banking

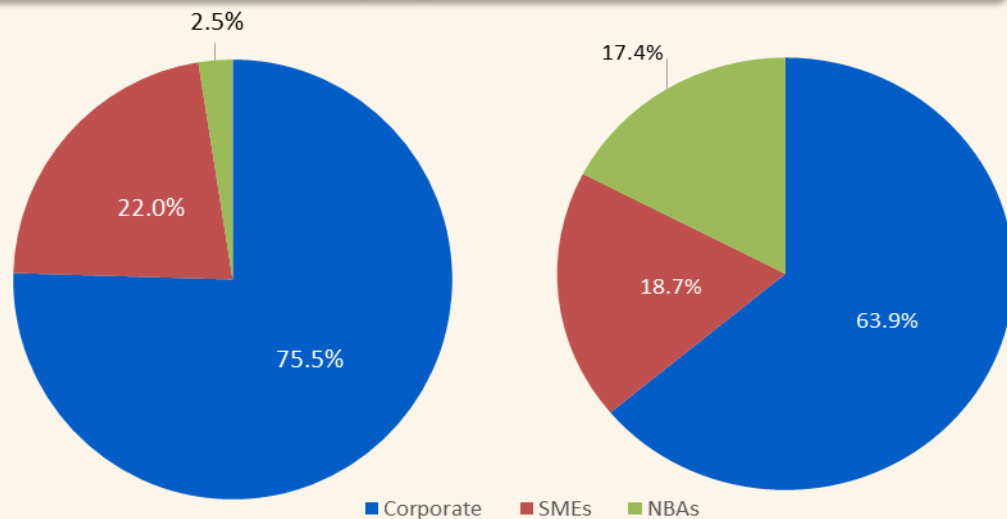
Description



- Clients include corporate, SMEs and NBAs*
- Interest rates are in the 16.0% - 18.5% range. Key products:
 - CAPEX loans: long-term loans for investment or expansion of the business
 - Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years
 - Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
 - Overdrafts
- Strategy
 - Introduce new services, integrate client coverage
 - Grow and consolidate market share
 - Leverage superior lending capacity
 - Focus on payroll services

*NBAs (Non Business Associations) include Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.

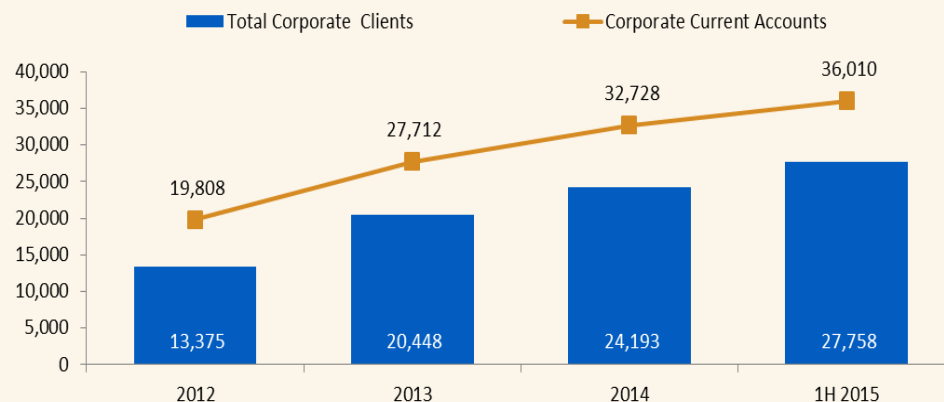
Key Segments at 1H 2015



Corporate Loans: FRw 231.3 Bn

Corporate Deposits: FRw 227.5 Bn

Number of Corporate Accounts

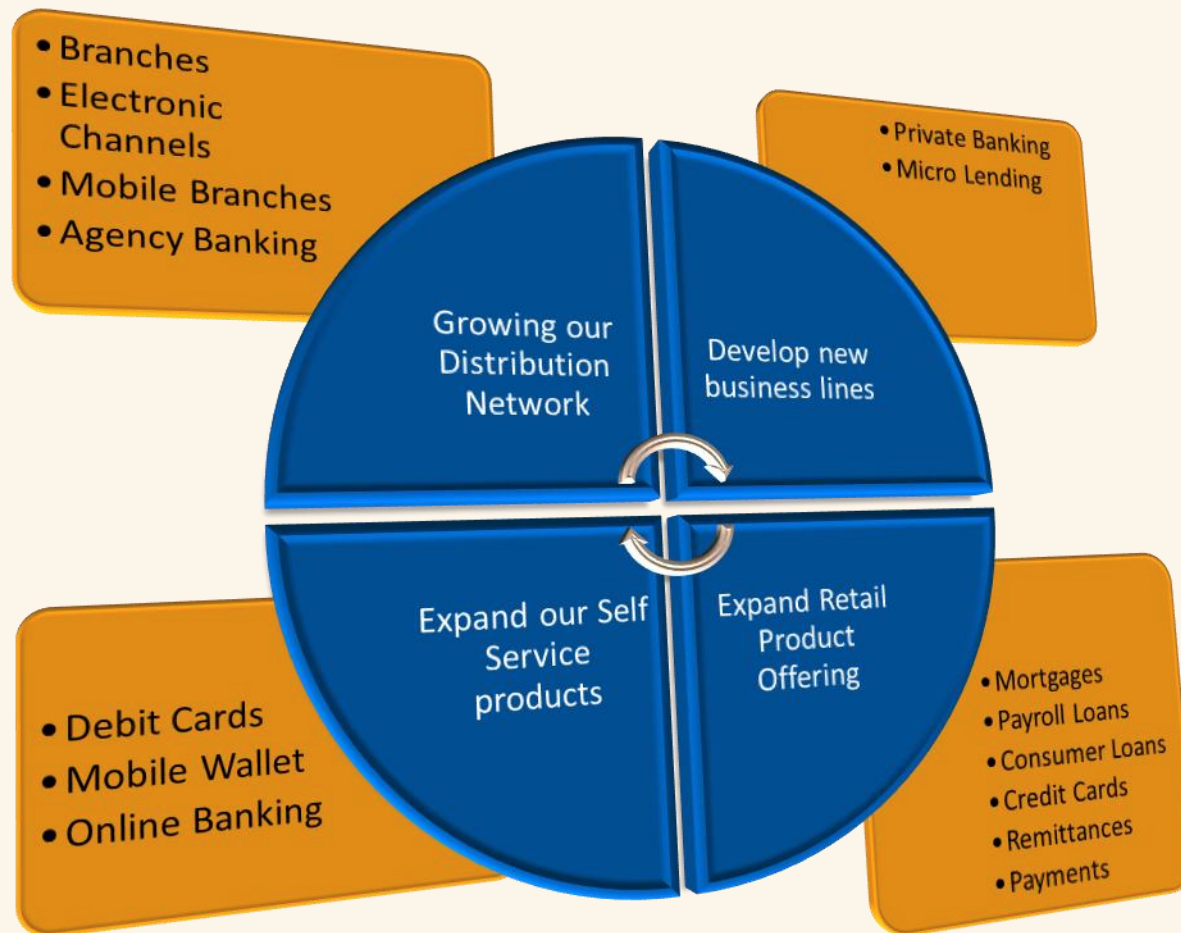


BANK OF KIGALI
Financially transforming lives

AFRICAN BANKER AWARDS 2015



Executing The Retail Strategy



Retail Banking

Description

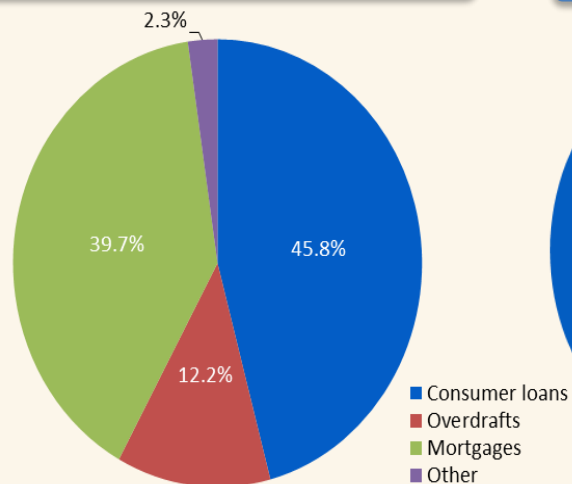
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts
- Key products:
 - Mortgage loan: up to 15 years with typical customer participation at 30% of property value
 - Consumer loan: up to 12x monthly salary and 48 months
 - Overdraft: up to 60% of monthly salary (normally repaid in 30 days)
 - Other products include credit cards and asset based financing
- Strategy:
 - Build a ubiquitous branch footprint throughout the country
 - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
 - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
 - Expand credit card/debit card offering to other providers (MasterCard)

Our Products

BK CASH POINT

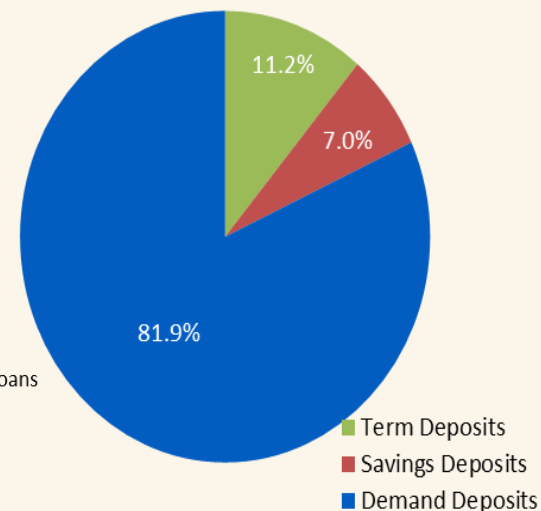


Retail Lending



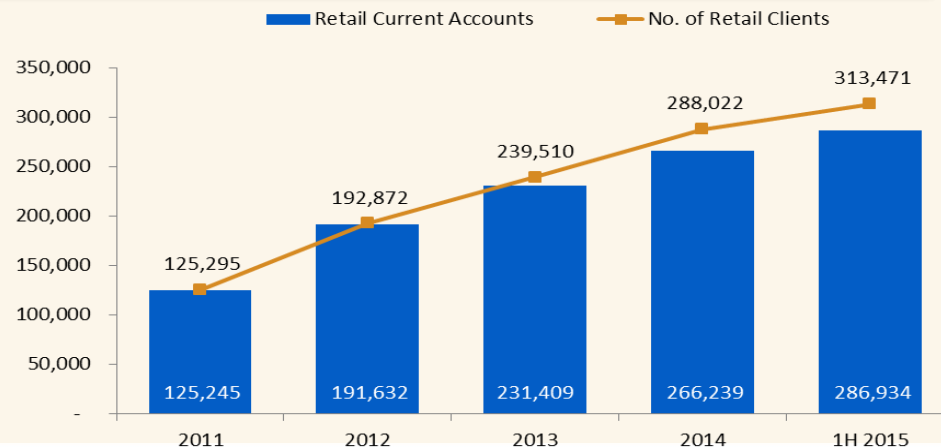
Retail Loans: FRw 60.2 Bn

Retail Deposits



Retail Deposits: FRw 78.4 Bn

Retail Client Accounts



Source: Bank of Kigali



BANK OF KIGALI
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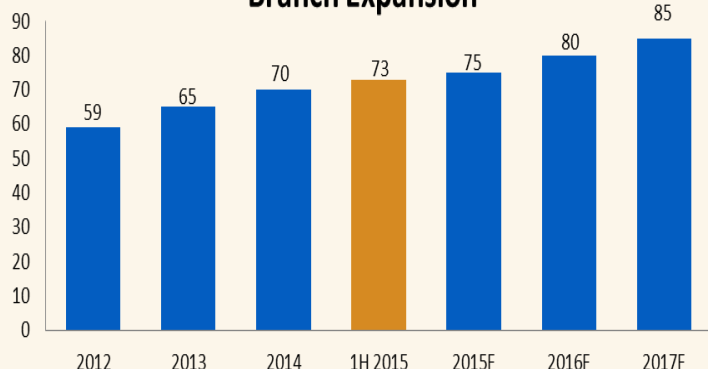
AFRICAN BANKER AWARDS 2015



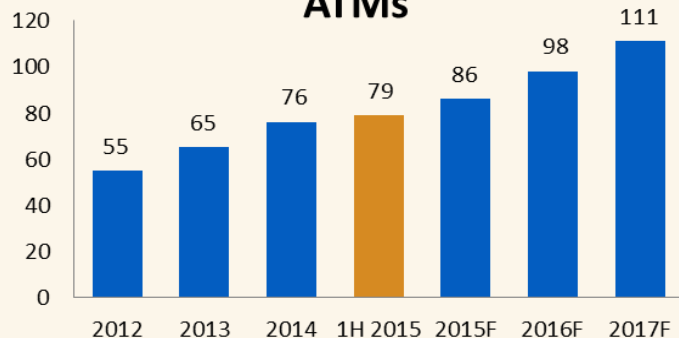
Growing Our Distribution Network

Ubiquitous footprint

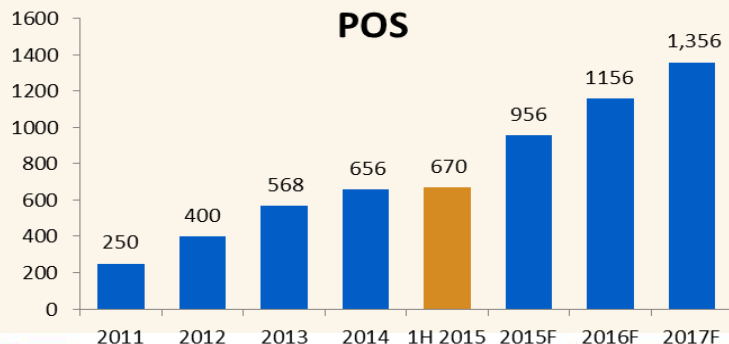
Branch Expansion



ATMs

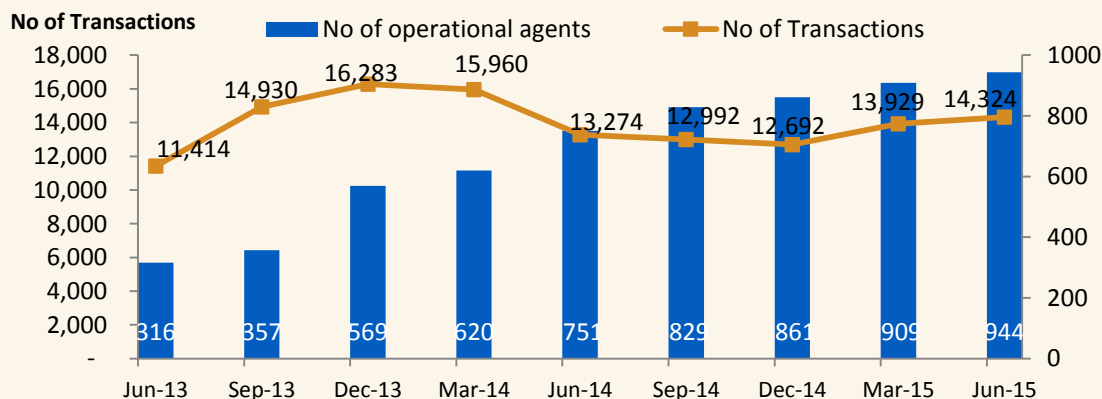


POS



Agency Banking

- Agency Banking platform BK Yacu began operating in Nov 2012.
- Expanded the agency banking network to 944 operational agents as at 30 June 2015
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.
- 20 BK-owned agent kiosks in high traffic areas



Other Initiatives

- A total of 9 mobile vans have been deployed across the country
- Launch Airtel Money across all branches



Expanding Our Self Service Products

Growing our Card Business

Key Achievements

- Launch of Visa Classic and Visa Gold Credit Cards
- Over 150,000 Visa debit & credit cards currently in circulation
- Union Pay and Diners Club Card Acquiring
- Deposit-taking ATMs
- Signing of E-commerce contract with Iveri

2015 Targets

- Issuing of MasterCard for the mass market and HNW clients
- Mass roll out of credit cards to the Retail segment – reach 10,000 credit cards by YE 2015
- Master card Issuing and Acquiring
- Launch of E-commerce platform



Increasing our Mobile Product Offering

Enhancing our mobile banking service

- Our mobile banking service Mobiserve allows customers to perform the following transactions:
 - Send money to any mobile phone user regardless of whether they operate a bank account or not
 - Purchasing prepaid TV, airtime and electricity
 - Check Balances and Bank information
 - Order cheque books
- 253,960 Mobiserve users as of 30 June 2015.

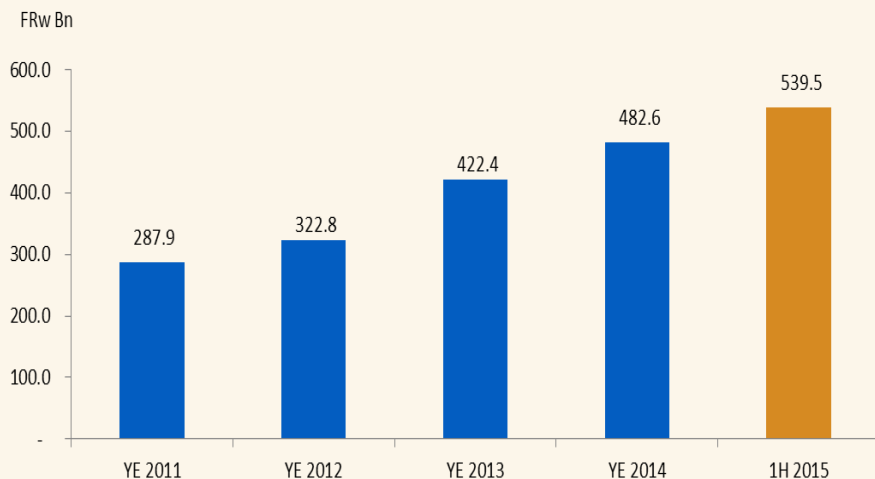


REVIEW OF FINANCIAL PERFORMANCE

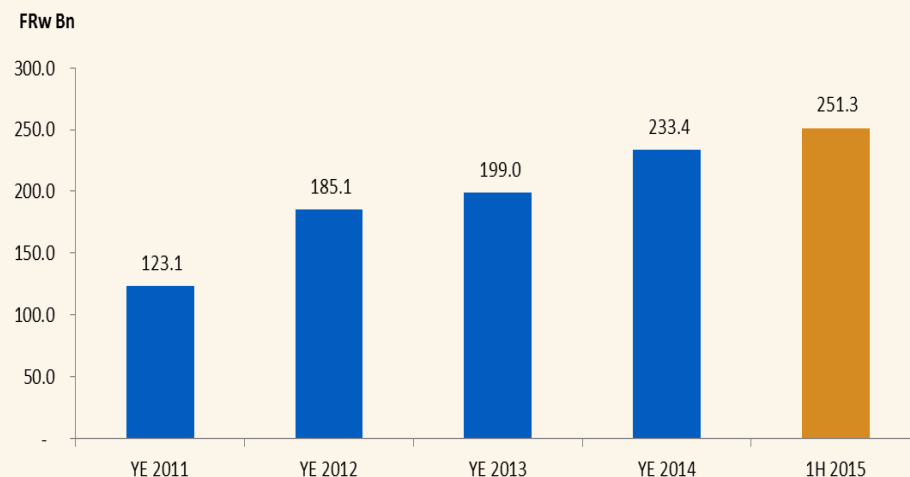


Balance Sheet Highlights

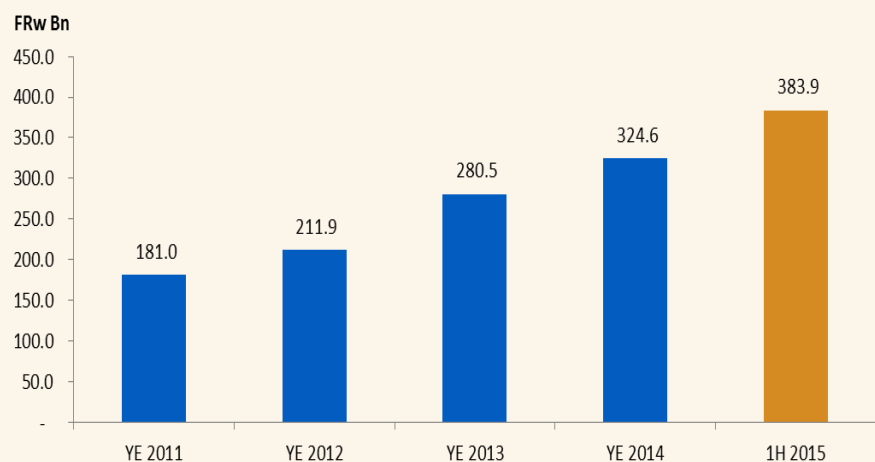
Total Assets



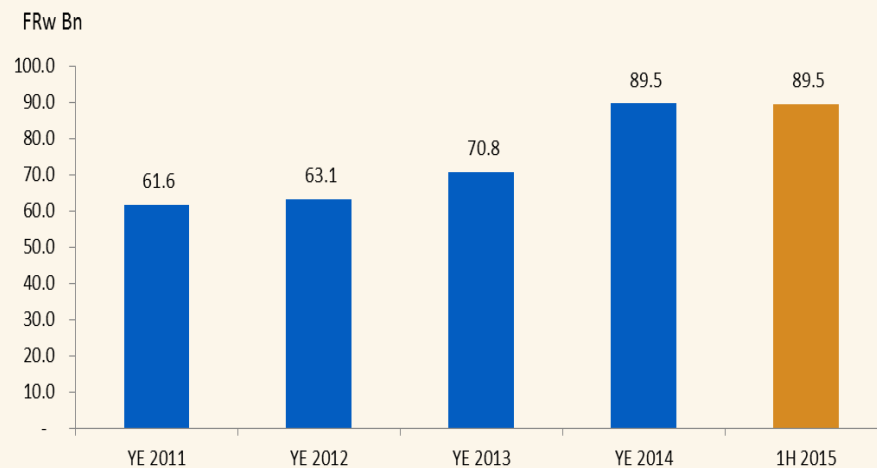
Net Loans and Advances



Customer Balances and Deposits

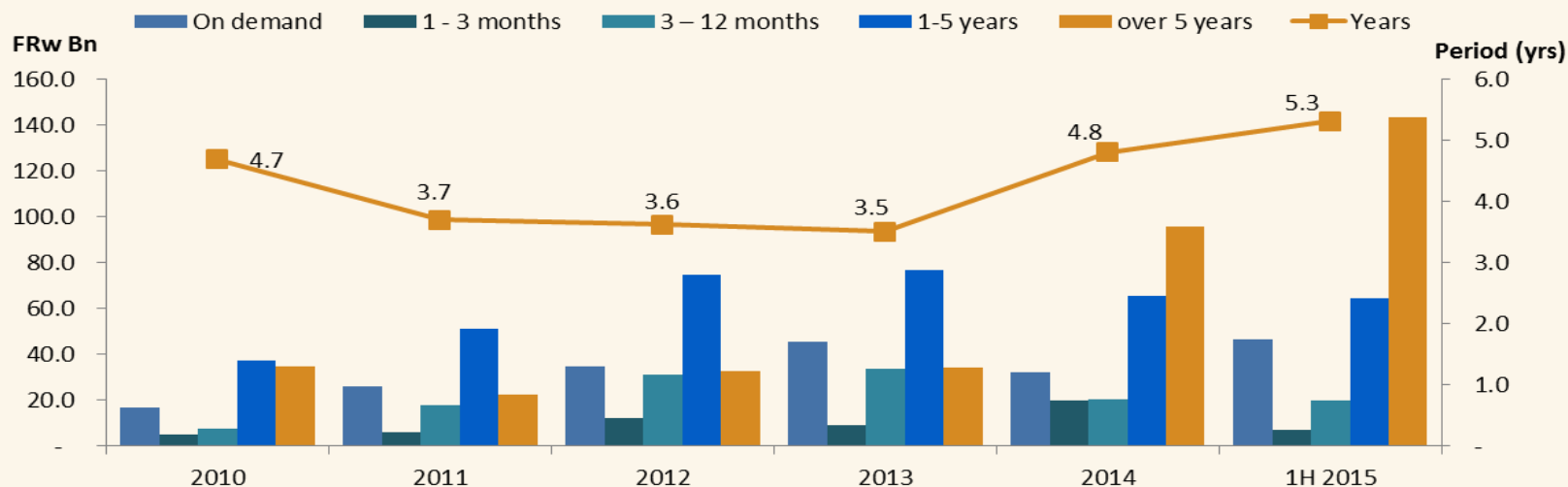


Shareholder's Equity

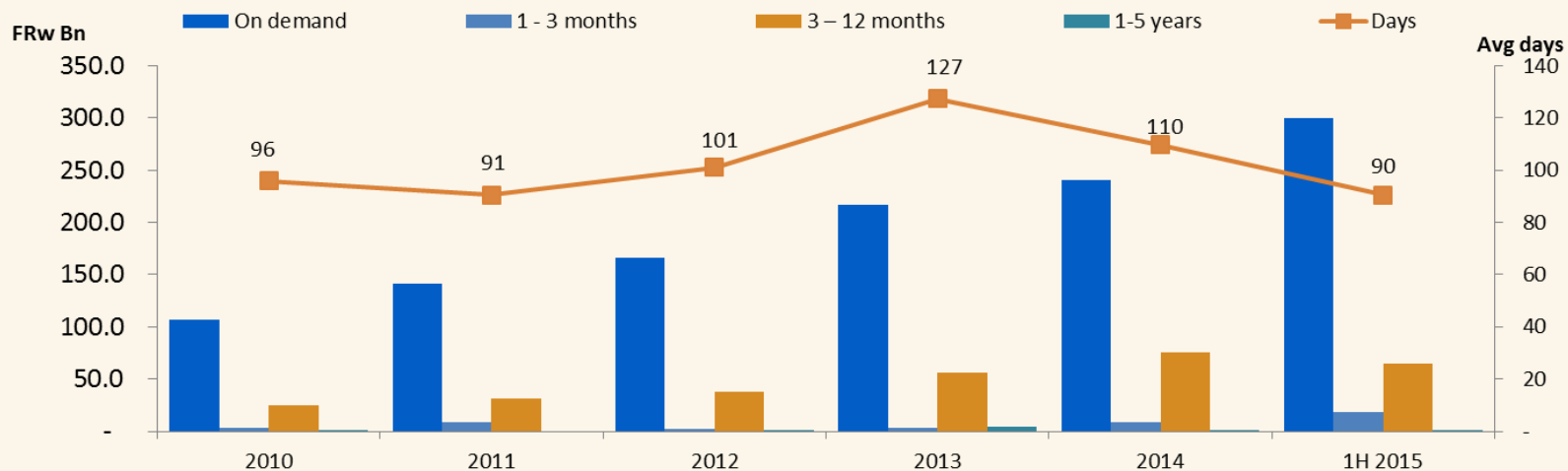


Maturity Profile

Loans and Advances to Clients

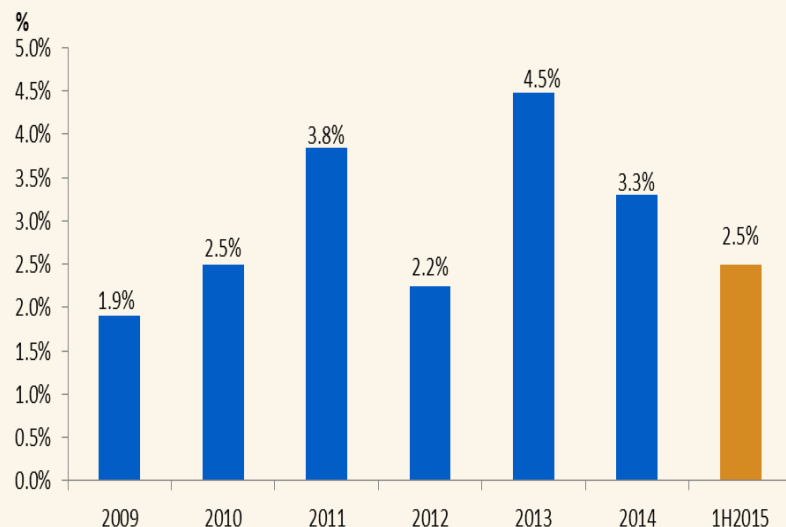


Customer Balances and Deposits



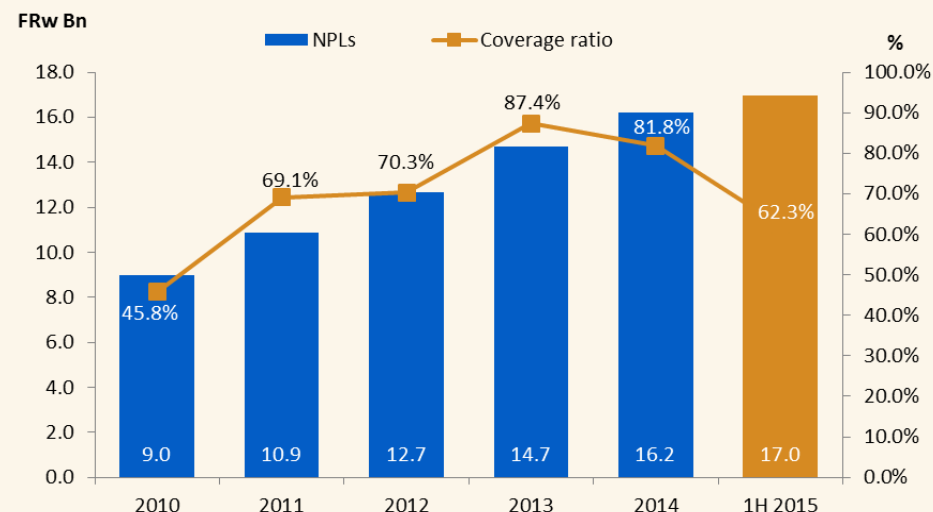
Asset Quality

Cost of Risk**, %



Notes: ** LLP charge / Average gross loans for period

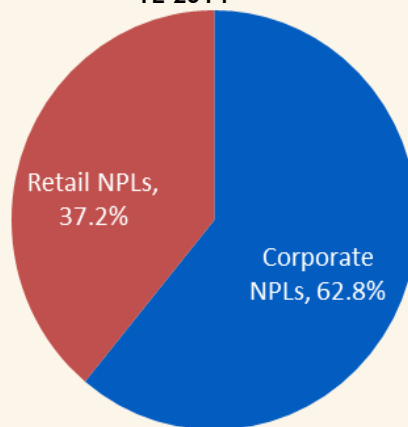
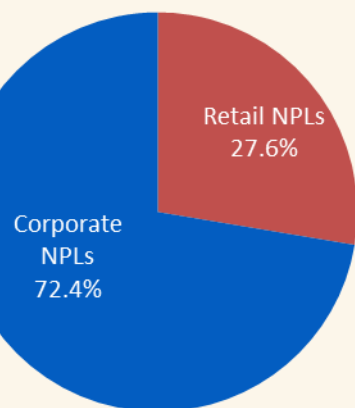
Improving Coverage Ratio



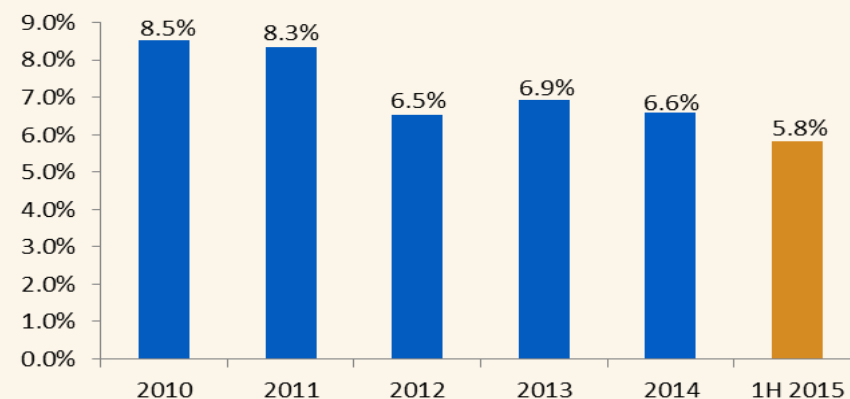
NPLs by segment

1H 2015

YE 2014

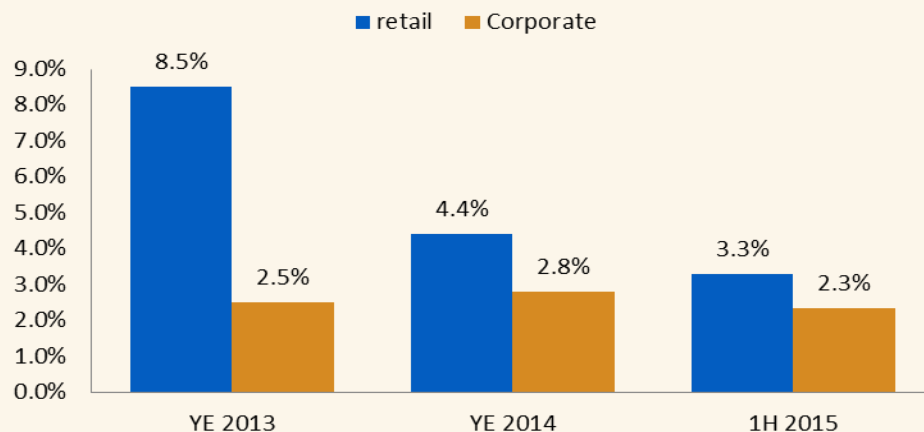


Manageable NPL Ratio

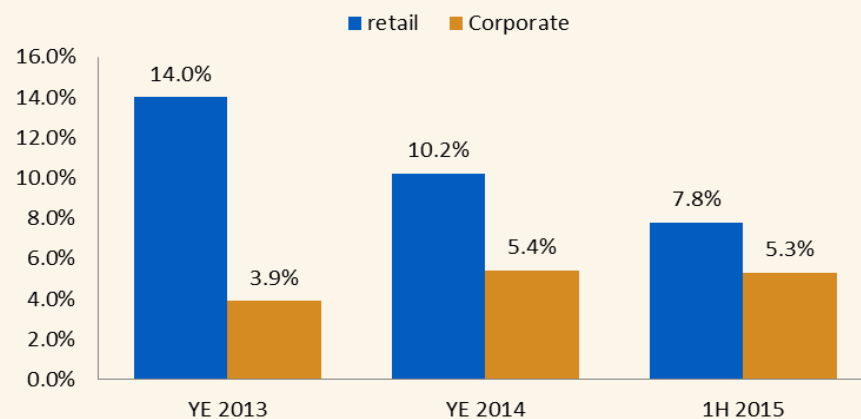


Asset Quality

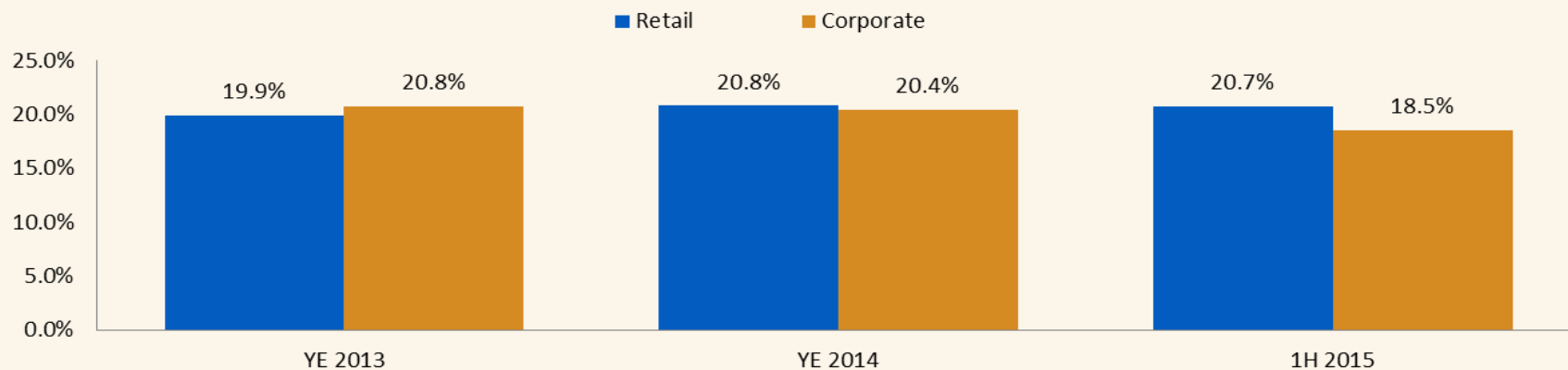
Cost of Risk by Segment



NPL by Segment

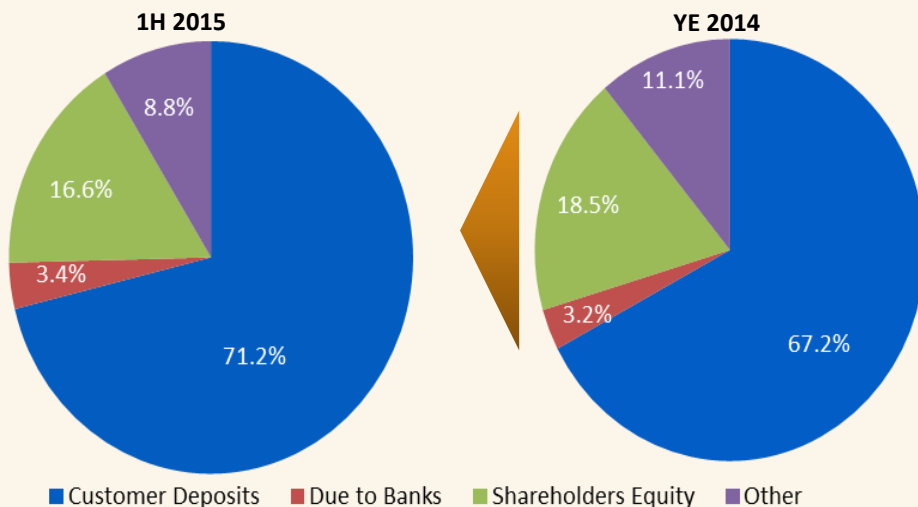


Gross loan Yield by Segment



Funding

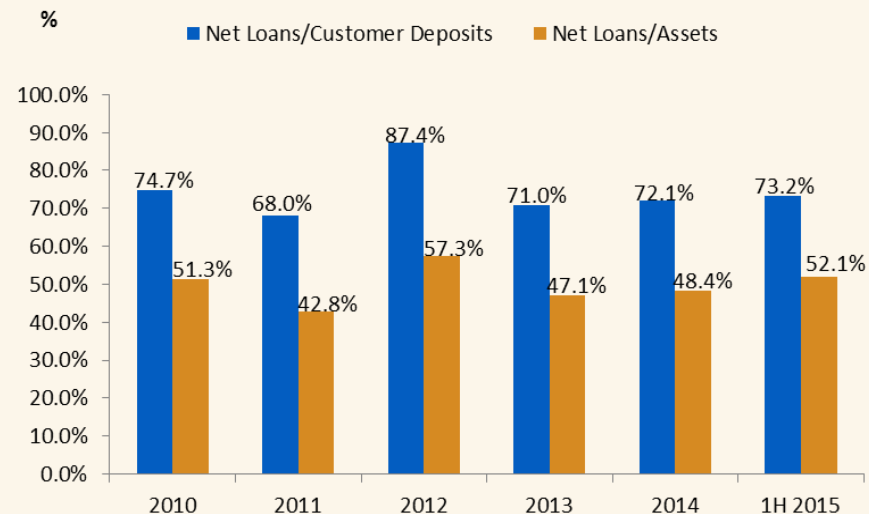
Funding Structure, %



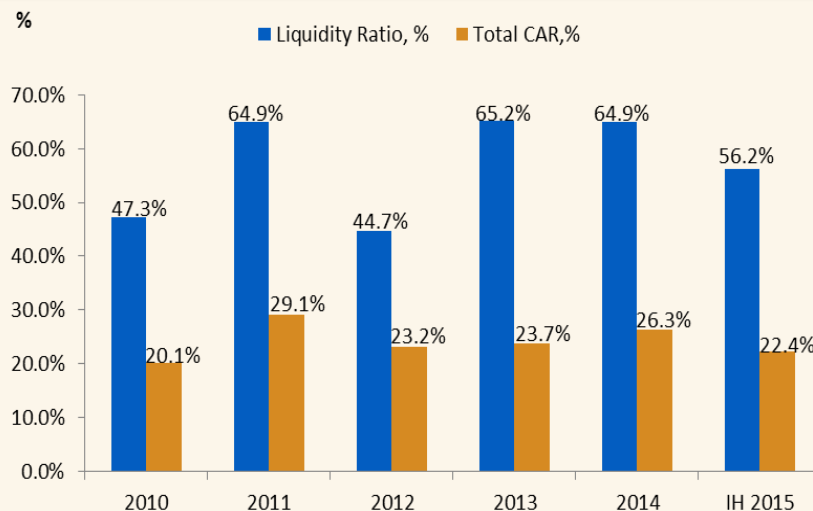
Highlights

- Deposits are the primary source of funding with the share of customer deposits at 71.2% as at 30 June 2015
- Strong growth in deposits has been driven by our branch expansion as well the introduction of various deposit mobilizing initiatives such as mobile vans and agency banking

Significant Potential For Growth In Higher Yielding Assets

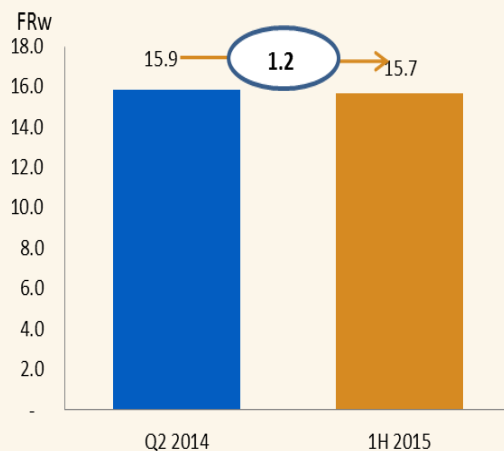


Strong Capital And Liquidity Position

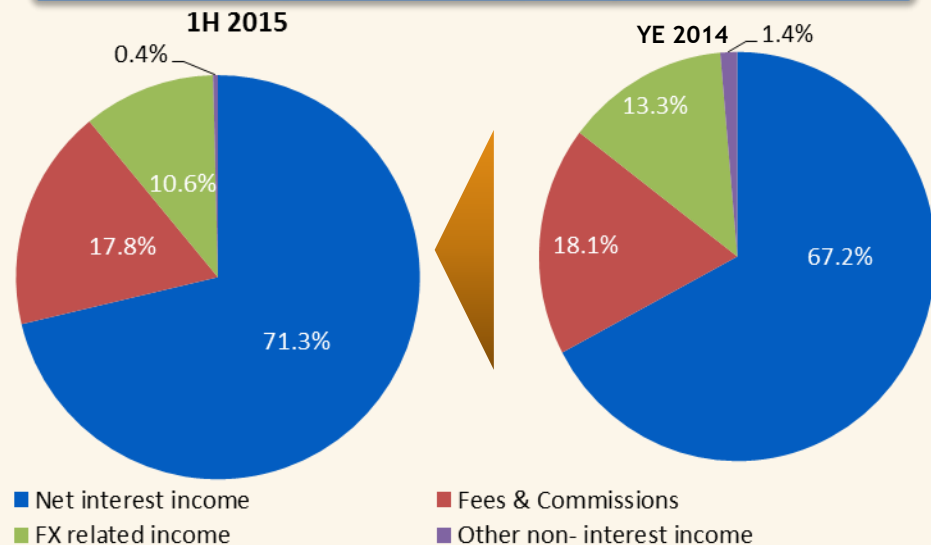


Income Statement Highlights

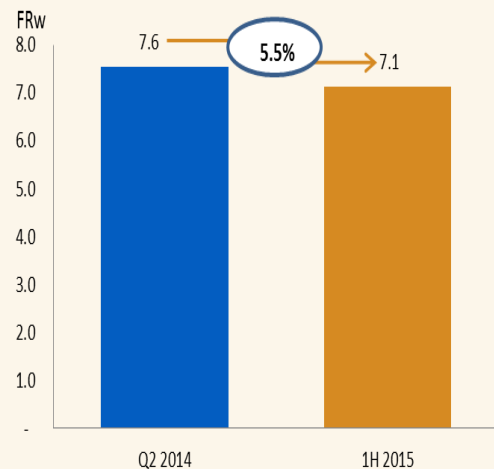
Total Operating Income



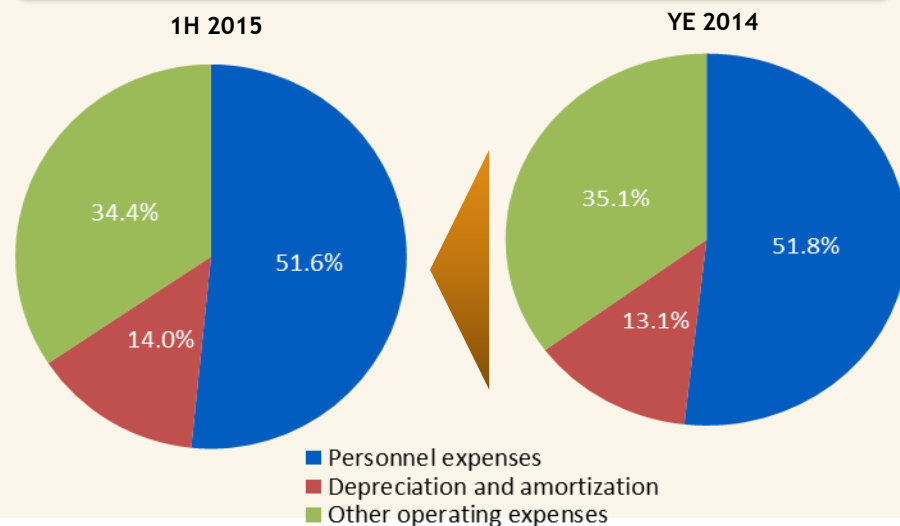
Composition of Total Operating Income



Total Recurring Operating Costs

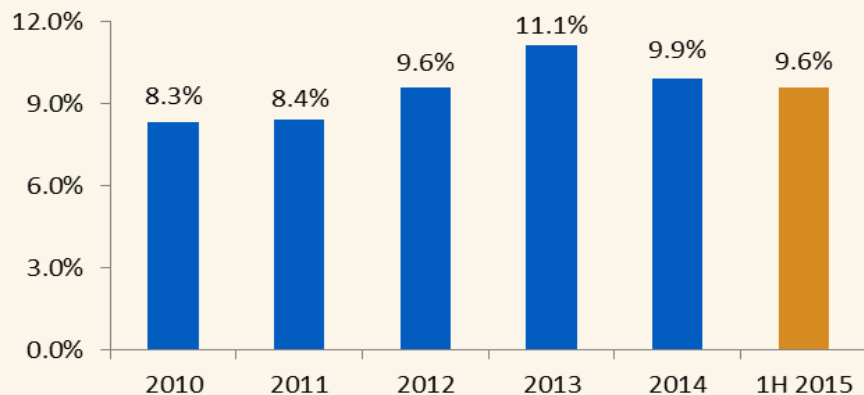


Composition of Total Operating Expenses

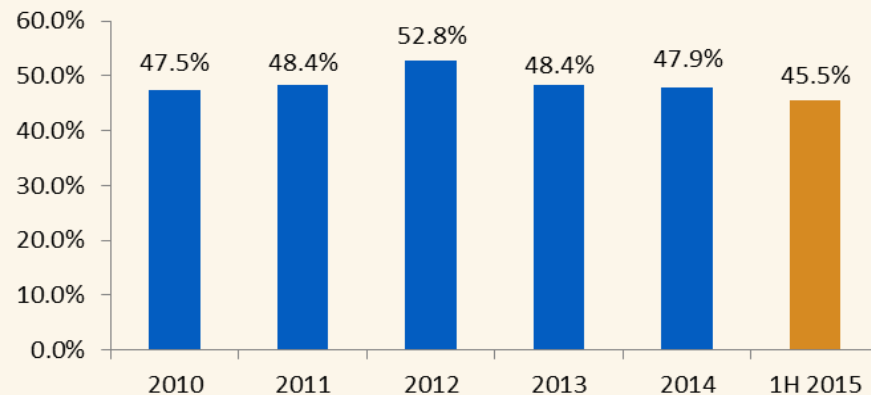


Consistent Profitable Growth

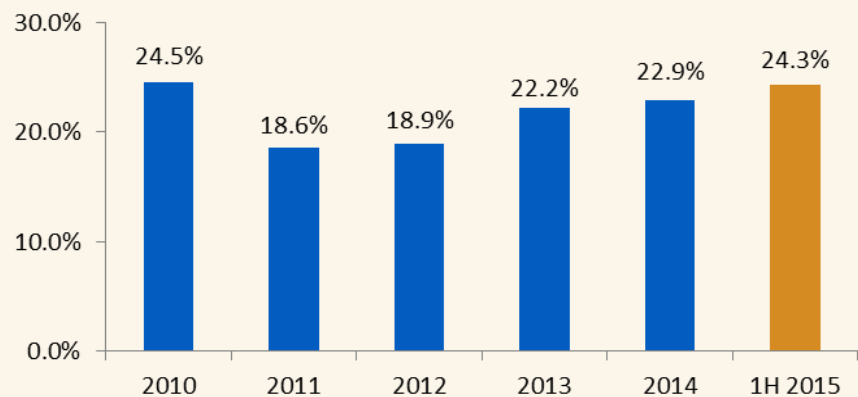
Sustainable Net Interest Margin %



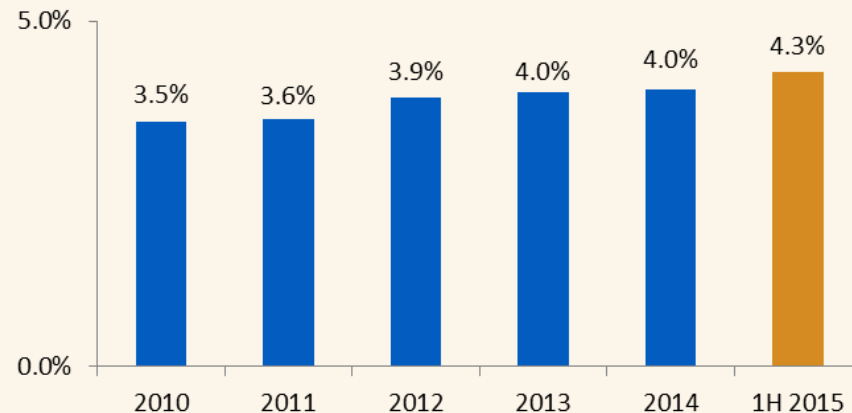
Attractive Cost/Income ratio



Stable Returns To Shareholders %



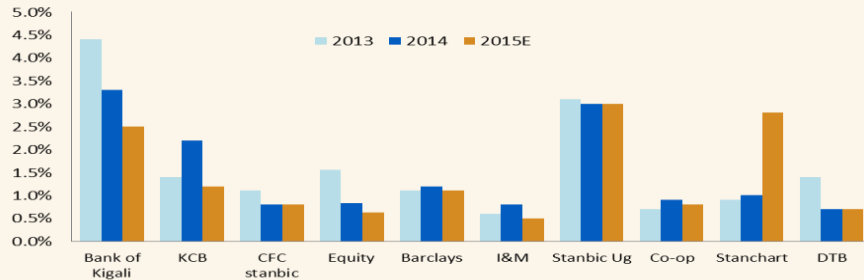
Strong Return on Average Assets %



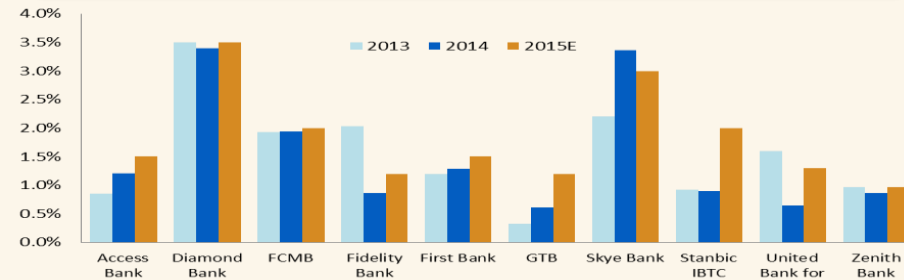
Source: Bank of Kigali Audited 2010-2014 IFRS Statements and Q1 2015 published financial statements

Regional Landscape

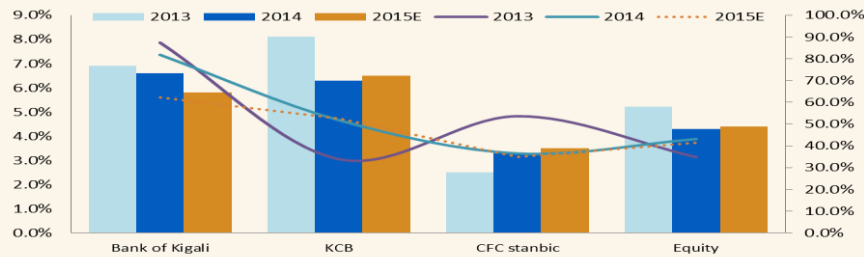
East African Banks - Cost of Risk



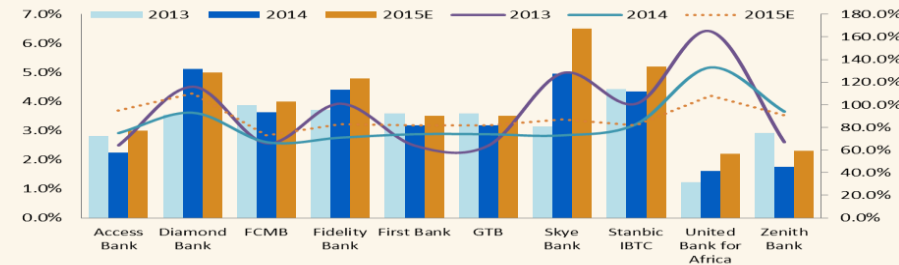
Nigerian Banks - Cost of Risk



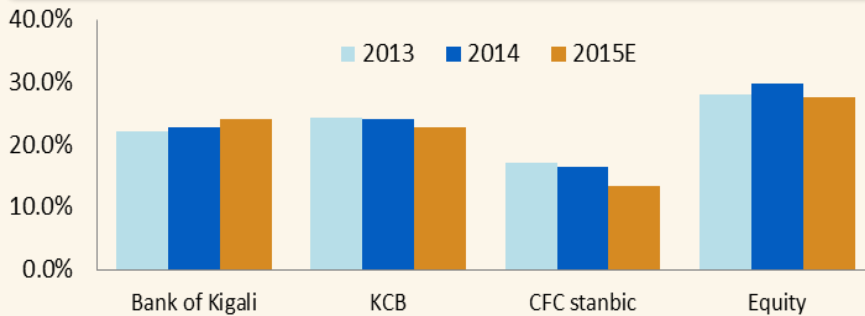
East African Banks - NPLs & Coverage ratio



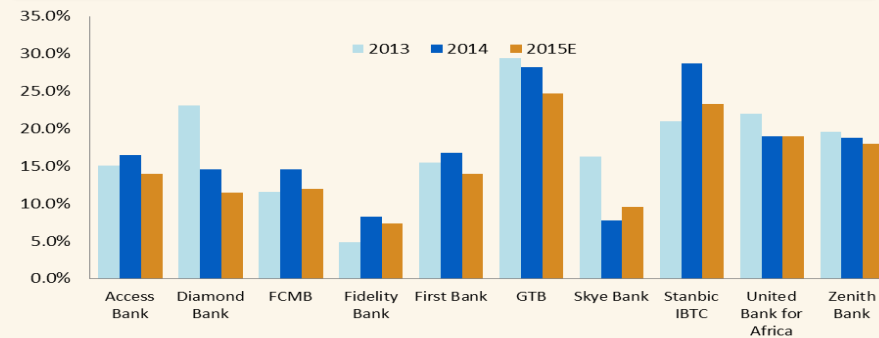
Nigerian Banks - NPLs & Coverage ratio



East African Banks - ROAE



Nigerian Banks - ROAE



Source: Bank of Kigali Audited 2010-2014 IFRS Statements and Q1 2015 published financial statements

STRATEGIC OUTLOOK



Strategic Outlook

Objectives

Strategies

Action

Outcomes

Customer growth in terms of current accounts – increase current accounts by 100,000 in 2015

Build a ubiquitous branch footprint throughout the country

Build sufficient channel capacity

Expand retail product offering

- ✎ Expand the branch network to 75+ branches by YE 2015
- ✎ Increase the number of ATMs, POS terminals and cards outstanding
- ✎ Build a modern and scalable mobile banking and Internet banking platforms
- ✎ Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)
- ✎ Flexible, offset, variable-rate, etc. mortgages
- ✎ Full range of consumer loan products
- ✎ Revolving credit cards
- ✎ Payroll & pension-backed loans & overdrafts
- ✎ Modern, multi-currency current accounts with debit cards
- ✎ Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere
- ✎ Payment & e-wallet solutions
- ✎ Full range of deposit products

- ✎ Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit
- ✎ Reach out to the unbanked (but bankable) population
- ✎ Become the bank of choice and convenience for the middle class and youth entering the employment sector
- ✎ Create capacity to service 500,000+ clients
- ✎ Maximize the product-to-client ratio
- ✎ “Grow with clients”
- ✎ Valuable source of retail clients through payroll programs
- ✎ Growth of loan book and F&C income

Healthy structure & growth of balance sheet >20% growth in 2015

Increase the loan to asset ratio to 60%

Increase retail loans penetration

Consolidate the leading position in corporate banking

Increase the maturity profile of liabilities

Create a universal banking platform

- ✎ Integrated client coverage
- ✎ Leverage the superior lending capacity
- ✎ Cross-selling opportunities
- ✎ Documentary operations & trade finance, FX, other solutions
- ✎ Rep offices in EAC
- ✎ Leverage the superior access to wholesale funding to complement the deposit funding base
- ✎ Private Banking, Securities, Insurance

- ✎ Diversification of funding base
- ✎ Expand the share of higher-margin lending
- ✎ Maximize the cross-sell opportunities
- ✎ Grow the share of retail in the loan book up to 30%-40% in the medium term
- ✎ Reduce maturity gap
- ✎ Enable further expansion of long-term lending
- ✎ Further diversification of revenue streams

Earnings growth ~22%
Return on Average Equity > 20%

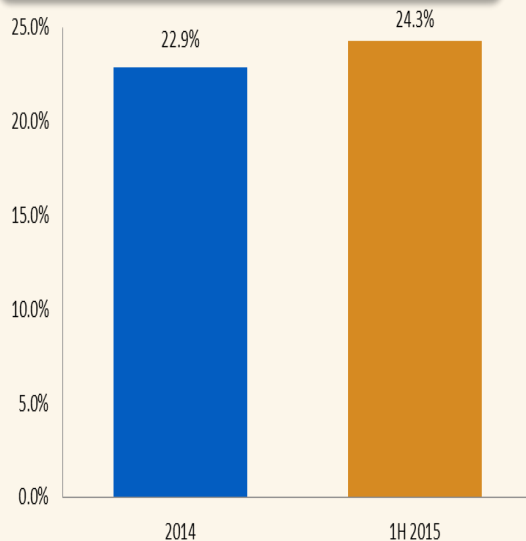
Maintain profitable growth

- ✎ Continuous improvement of risk management policies & procedures
- ✎ Disciplined capital management, medium term target CAR of 15%-18% and ROAE of 20%+, implying ROAA in the 3.5% range

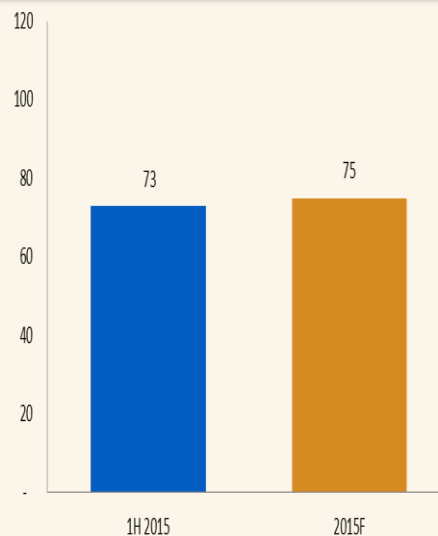
- ✎ No profitability sacrifices for the sake of market share gains
- ✎ Sensible dividend policy as the growth curve flattens out over time

Management Targets

Return on Average Equity



Branch Expansion



Other Selected Management 2015 targets

- ✎ Growth in net income >20% Y-o-Y
- ✎ Growth in total assets +20% Y-o-Y
- ✎ Non funded income ratio : 40% of the total operating income
- ✎ Reduce NPL ratio to < 5%
- ✎ Increase number of retail current accounts by 100,000

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